UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

(Mark One)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

FOR THE QUARTERLY PERIOD ENDED February 28, 2025

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

FOR THE TRANSITION PERIOD FROM _____ TO_____

Commission File Number: 1-15829

FedEx Corporation

(Exact name of registrant as specified in its charter)

Delaware	**62-1721435**
(State or other jurisdiction of incorporation or organization)	*(I.R.S. Employer Identification No.)*
942 South Shady Grove Road, Memphis, Tennessee	**38120**
(Address of principal executive offices)	*(ZIP Code)*

Registrant's telephone number, including area code: **(901) 818-7500**

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol	Name of each exchange on which registered
Common Stock, par value $0.10 per share	**FDX**	**New York Stock Exchange**
0.450% Notes due 2025	**FDX 25A**	**New York Stock Exchange**
1.625% Notes due 2027	**FDX 27**	**New York Stock Exchange**
0.450% Notes due 2029	**FDX 29A**	**New York Stock Exchange**
1.300% Notes due 2031	**FDX 31**	**New York Stock Exchange**
0.950% Notes due 2033	**FDX 33**	**New York Stock Exchange**

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§ 232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☑ Accelerated filer ☐ Non-accelerated filer ☐ Smaller reporting company ☐ Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

Indicate the number of shares outstanding of each of the issuer's classes of common stock, as of the latest practicable date.

Common Stock	Outstanding Shares at March 18, 2025
Common Stock, par value $0.10 per share	239,598,919

FEDEX CORPORATION

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FEDEX CORPORATION
CONDENSED CONSOLIDATED BALANCE SHEETS
(IN MILLIONS)

	February 28, 2025 (Unaudited)	May 31, 2024
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	$ 5,135	$ 6,501
Receivables, less allowances of $725 and $775	10,230	10,087
Spare parts, supplies, and fuel, less allowances of $301 and $288	617	614
Prepaid expenses and other	1,232	1,005
Total current assets	17,214	18,207
PROPERTY AND EQUIPMENT, AT COST	86,565	84,391
Less accumulated depreciation and amortization	45,601	42,900
Net property and equipment	40,964	41,491
OTHER LONG-TERM ASSETS		
Operating lease right-of-use assets, net	16,468	17,115
Goodwill	6,332	6,423
Other assets	4,065	3,771
Total other long-term assets	26,865	27,309
	$ 85,043	$ 87,007

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
CONDENSED CONSOLIDATED BALANCE SHEETS
(IN MILLIONS, EXCEPT SHARE DATA)

	February 28, 2025 (Unaudited)	May 31, 2024
LIABILITIES AND COMMON STOCKHOLDERS' INVESTMENT		
CURRENT LIABILITIES		
Current portion of long-term debt	$ 611	$ 68
Accrued salaries and employee benefits	2,601	2,673
Accounts payable	3,604	3,189
Operating lease liabilities	2,524	2,463
Accrued expenses	4,556	4,962
Total current liabilities	13,896	13,355
LONG-TERM DEBT, LESS CURRENT PORTION	19,530	20,135
OTHER LONG-TERM LIABILITIES		
Deferred income taxes	4,308	4,482
Pension, postretirement healthcare, and other benefit obligations	1,664	2,010
Self-insurance accruals	3,914	3,701
Operating lease liabilities	14,366	15,053
Other liabilities	657	689
Total other long-term liabilities	24,909	25,935
COMMITMENTS AND CONTINGENCIES		
COMMON STOCKHOLDERS' INVESTMENT		
Common stock, $0.10 par value; 800 million shares authorized; 318 million shares issued as of February 28, 2025 and May 31, 2024	32	32
Additional paid-in capital	4,245	3,988
Retained earnings	39,754	38,649
Accumulated other comprehensive loss	(1,499)	(1,359)
Treasury stock, at cost; 78 million shares as of February 28, 2025 and 72 million shares as of May 31, 2024	(15,824)	(13,728)
Total common stockholders' investment	26,708	27,582
	$ 85,043	$ 87,007

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(UNAUDITED)
(IN MILLIONS, EXCEPT PER SHARE AMOUNTS)

	Three Months Ended		Nine Months Ended	
	February 28, 2025	February 29, 2024	February 28, 2025	February 29, 2024
REVENUE	$ 22,160	$ 21,738	$ 65,706	$ 65,584
OPERATING EXPENSES:				
Salaries and employee benefits	7,879	7,693	23,543	23,311
Purchased transportation	5,634	5,345	16,409	15,776
Rentals and landing fees	1,178	1,145	3,507	3,434
Depreciation and amortization	1,066	1,072	3,207	3,183
Fuel	889	1,140	2,911	3,569
Maintenance and repairs	783	804	2,443	2,482
Business optimization costs	179	114	633	364
Other	3,260	3,182	9,629	9,461
	20,868	20,495	62,282	61,580
OPERATING INCOME	1,292	1,243	3,424	4,004
OTHER (EXPENSE) INCOME:				
Interest, net	(116)	(91)	(302)	(279)
Other retirement plans, net	50	40	149	120
Other, net	(45)	(9)	(53)	(37)
	(111)	(60)	(206)	(196)
INCOME BEFORE INCOME TAXES	1,181	1,183	3,218	3,808
PROVISION FOR INCOME TAXES	272	304	774	951
NET INCOME	$ 909	$ 879	$ 2,444	$ 2,857
EARNINGS PER COMMON SHARE:				
Basic	$ 3.79	$ 3.55	$ 10.09	$ 11.43
Diluted	$ 3.76	$ 3.51	$ 9.99	$ 11.31
DIVIDENDS DECLARED PER COMMON SHARE	$ 1.38	$ 1.26	$ 5.52	$ 3.78

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(UNAUDITED)
(IN MILLIONS)

	Three Months Ended		Nine Months Ended	
	February 28, 2025	February 29, 2024	February 28, 2025	February 29, 2024
NET INCOME	$ 909	$ 879	$ 2,444	$ 2,857
OTHER COMPREHENSIVE INCOME (LOSS):				
Foreign currency translation adjustments, net of tax benefit/(expense) of $2 and $0 in 2025 and $2 and $3 in 2024	17	(39)	(135)	(39)
Prior service credit arising during period, net of tax (expense) of $0 and ($11) in 2024	—	—	—	36
Amortization of prior service credit, net of tax benefit of $1 and $2 in 2025 and $0 and $0 in 2024	(1)	(2)	(5)	(5)
	16	(41)	(140)	(8)
COMPREHENSIVE INCOME	$ 925	$ 838	$ 2,304	$ 2,849

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(UNAUDITED)
(IN MILLIONS)

	Nine Months Ended	
	February 28, 2025	February 29, 2024
Operating Activities:		
Net income	$ 2,444	$ 2,857
Adjustments to reconcile net income to cash provided by operating activities:		
Depreciation and amortization	3,207	3,183
Provision for uncollectible accounts	382	323
Other noncash items including leases and deferred income taxes	2,353	2,141
Stock-based compensation	116	130
Business optimization costs, net of payments	114	(50)
Changes in assets and liabilities:		
Receivables	(692)	(110)
Other assets	(68)	(119)
Accounts payable and other liabilities	(3,383)	(2,711)
Other, net	44	(30)
Cash provided by operating activities	4,517	5,614
Investing Activities:		
Capital expenditures	(2,582)	(3,974)
Purchase of investments	(197)	(110)
Proceeds from sale of investments	77	24
Proceeds from asset dispositions and other	42	94
Cash used in investing activities	(2,660)	(3,966)
Financing Activities:		
Principal payments on debt	(89)	(143)
Proceeds from stock issuances	472	265
Dividends paid	(1,008)	(949)
Purchases of common stock	(2,517)	(2,000)
Other	(30)	(7)
Cash used in financing activities	(3,172)	(2,834)
Effect of exchange rate changes on cash	(51)	(26)
Net decrease in cash and cash equivalents	(1,366)	(1,212)
Cash and cash equivalents at beginning of period	6,501	6,856
Cash and cash equivalents at end of period	$ 5,135	$ 5,644

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN COMMON STOCKHOLDERS' INVESTMENT
(UNAUDITED)
(IN MILLIONS, EXCEPT SHARE DATA)

	Three Months Ended		Nine Months Ended	
	February 28, 2025	February 29, 2024	February 28, 2025	February 29, 2024
Common Stock				
Beginning Balance	$ 32	$ 32	$ 32	$ 32
Ending Balance	32	32	32	32
Additional Paid-in Capital				
Beginning Balance	4,165	3,849	3,988	3,769
Purchases of common stock	—	4	(21)	(30)
Issuance of treasury stock for acquisition	42	—	42	—
Employee incentive plans and other	38	45	236	159
Ending Balance	4,245	3,898	4,245	3,898
Retained Earnings				
Beginning Balance	39,175	36,605	38,649	35,259
Net Income	909	879	2,444	2,857
Cash dividends declared ($1.38, $1.26, $5.52, and $3.78 per share)	(330)	(310)	(1,339)	(942)
Ending Balance	39,754	37,174	39,754	37,174
Accumulated Other Comprehensive Loss				
Beginning Balance	(1,515)	(1,294)	(1,359)	(1,327)
Other comprehensive (loss)/income, net of tax benefit/(expense) of $3, $2, $2, and ($8)	16	(41)	(140)	(8)
Ending Balance	(1,499)	(1,335)	(1,499)	(1,335)
Treasury Stock				
Beginning Balance	(15,397)	(12,426)	(13,728)	(11,645)
Purchases of common stock (1.8, 4.1, 8.9, and 8.0 million shares)	(500)	(1,011)	(2,495)	(1,985)
Issuance of treasury stock for acquisition	48	—	48	—
Employee incentive plans and other (0.2, 0.3, 2.6, and 1.8 million shares)	25	43	351	236
Ending Balance	(15,824)	(13,394)	(15,824)	(13,394)
Total Common Stockholders' Investment Balance	$ 26,708	$ 26,375	$ 26,708	$ 26,375

The accompanying notes are an integral part of these condensed consolidated financial statements.

FEDEX CORPORATION
NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
(UNAUDITED)

NOTE 1: DESCRIPTION OF BUSINESS SEGMENTS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

DESCRIPTION OF BUSINESS SEGMENTS. FedEx Corporation ("FedEx") provides a broad portfolio of transportation, e-commerce, and business services, offering integrated business solutions utilizing our flexible, efficient, and intelligent global network. Our primary operating companies are Federal Express Corporation ("Federal Express"), the world's largest express transportation company and a leading North American provider of small-package ground delivery services, and FedEx Freight, Inc. ("FedEx Freight"), a leading North American provider of less-than-truckload ("LTL") freight transportation services.

In connection with our one FedEx consolidation plan, on June 1, 2024, FedEx Ground Package System, Inc. ("FedEx Ground") and FedEx Corporate Services, Inc. were merged into Federal Express, becoming a single company operating a unified, fully integrated air-ground express network under the respected FedEx brand. FedEx Freight continues to provide LTL freight transportation services as a separate subsidiary. Beginning in the first quarter of 2025, Federal Express and FedEx Freight represent our major service lines and constitute our reportable segments. Additionally, the results of FedEx Custom Critical, Inc. ("FedEx Custom Critical") are included in the FedEx Freight segment instead of the Federal Express segment in 2025. Prior-year amounts were revised to reflect this presentation.

We evaluated our reporting units with significant recorded goodwill during the fourth quarter of 2024, and the estimated fair value of each reporting unit exceeded its carrying value as of the end of 2024 immediately before our one FedEx consolidation. We reevaluated the conclusion of our 2024 goodwill impairment tests as of June 1, 2024 immediately after our one FedEx consolidation and concluded that the estimated fair values of our reporting units with significant goodwill continued to exceed their respective carrying values.

In December 2024, we announced that FedEx's Board of Directors decided to pursue a full separation of FedEx Freight through the capital markets, creating a new publicly traded company. The transaction, which would be implemented through the spin-off of shares of the new company to FedEx stockholders, is expected to be tax-free for U.S. federal income tax purposes for FedEx stockholders and is expected to be completed by June 2026.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES. These interim financial statements of FedEx have been prepared in accordance with accounting principles generally accepted in the United States and Securities and Exchange Commission ("SEC") instructions for interim financial information, and should be read in conjunction with our Annual Report on Form 10-K for the fiscal year ended May 31, 2024 ("Annual Report"). Significant accounting policies and other disclosures normally provided have been omitted since such items are disclosed in our Annual Report.

In the opinion of management, the accompanying unaudited condensed consolidated financial statements reflect all adjustments (including normal recurring adjustments) necessary to present fairly our financial position as of February 28, 2025, and the results of our operations for the three- and nine-month periods ended February 28, 2025 and February 29, 2024, cash flows for the nine-month periods ended February 28, 2025 and February 29, 2024, and changes in common stockholders' investment for the three- and nine-month periods ended February 28, 2025 and February 29, 2024. Operating results for the three- and nine-month periods ended February 28, 2025 are not necessarily indicative of the results that may be expected for the year ending May 31, 2025.

In January 2025, the Board of Directors approved a change in FedEx's fiscal year end from May 31 to December 31. The fiscal year change will be effective June 1, 2026. Except as otherwise specified, references to years indicate our fiscal year ending May 31, 2025 or ended May 31 of the year referenced and comparisons are to the corresponding period of the prior year.

CONTRACT ASSETS AND LIABILITIES. Contract assets include billed and unbilled amounts resulting from in-transit shipments, as we have an unconditional right to payment only once all performance obligations have been completed (e.g., packages have been delivered). Contract assets are generally classified as current, and the full balance is converted each quarter based on the short-term nature of the transactions. Our contract liabilities consist of advance payments and billings in excess of revenue. The full balance of deferred revenue is converted each quarter based on the short-term nature of the transactions.

Gross contract assets related to in-transit shipments totaled $670 million and $672 million at February 28, 2025 and May 31, 2024, respectively. Contract assets net of deferred unearned revenue were $493 million and $463 million at February 28, 2025 and May 31, 2024, respectively. Contract assets are included within "Receivables" in the accompanying unaudited condensed consolidated balance sheets. Contract liabilities related to advance payments from customers were $23 million and $23 million at February 28, 2025 and May 31, 2024, respectively. Contract liabilities are included within "Accrued expenses" in the accompanying unaudited condensed consolidated balance sheets.

DISAGGREGATION OF REVENUE. The following table provides revenue by service type (in millions) for the three- and nine-month periods ended February 28, 2025 and February 29, 2024. This presentation is consistent with how we organize our segments internally for making operating decisions and measuring performance.

	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
REVENUE BY SERVICE TYPE				
Federal Express segment:				
Package:				
U.S. priority	$ 2,646	$ 2,595	$ 7,800	$ 7,873
U.S. deferred	1,386	1,316	3,736	3,710
U.S. ground	8,986	8,363	25,298	24,805
Total U.S. domestic package revenue	13,018	12,274	36,834	36,388
International priority	2,097	2,317	6,534	7,034
International economy	1,465	1,107	4,413	3,407
Total international export package revenue	3,562	3,424	10,947	10,441
International domestic[1]	1,078	1,139	3,380	3,492
Total package revenue	17,658	16,837	51,161	50,321
Freight:				
U.S.	286	641	1,238	1,795
International priority	551	520	1,717	1,641
International economy	470	438	1,462	1,380
Total freight revenue	1,307	1,599	4,417	4,816
Other	216	236	749	734
Total Federal Express segment	19,181	18,672	56,327	55,871
FedEx Freight segment	2,089	2,205	6,595	7,042
Other and eliminations[2]	890	861	2,784	2,671
	$ 22,160	$ 21,738	$ 65,706	$ 65,584

(1) International domestic revenue relates to our international intra-country operations.

(2) Includes the FedEx Dataworks, Inc. ("FedEx Dataworks"), FedEx Office and Print Services, Inc. ("FedEx Office"), and FedEx Logistics, Inc. ("FedEx Logistics") operating segments.

EMPLOYEES UNDER COLLECTIVE BARGAINING ARRANGEMENTS. The pilots of Federal Express, who are a small number of its total employees, are represented by the Air Line Pilots Association, International ("ALPA") and are employed under a collective bargaining agreement that took effect on November 2, 2015. The agreement became amendable in November 2021. Bargaining for a successor agreement began in May 2021, and in November 2022 the National Mediation Board ("NMB"), which is the U.S. governmental agency that oversees labor agreements for entities covered by the Railway Labor Act of 1926, as amended, began actively mediating the negotiations. In July 2023, Federal Express's pilots failed to ratify the tentative successor agreement that was approved by ALPA's FedEx Master Executive Council the prior month. Bargaining for a successor agreement continues. In April 2024, the NMB rejected ALPA's request for a proffer of arbitration, and the parties remain in mediated negotiations. The conduct of mediated negotiations has no effect on our operations. A small number of our other employees are members of unions.

STOCK-BASED COMPENSATION. We have three types of equity-based compensation: stock options, restricted stock, and, for outside directors, restricted stock units. The key terms of our equity-based compensation plans and financial disclosures about these programs are set forth in our Annual Report. Our stock-based compensation expense was $31 million for the three-month period ended February 28, 2025 and $116 million for the nine-month period ended February 28, 2025. Our stock-based compensation expense was $34 million for the three-month period ended February 29, 2024 and $130 million for the nine-month period ended February 29, 2024. Due to its immateriality, additional disclosures related to stock-based compensation have been excluded from this quarterly report.

BUSINESS OPTIMIZATION COSTS. In the second quarter of 2023, we announced DRIVE, a comprehensive program to improve long-term profitability. This program includes a business optimization plan to drive efficiency within and among our transportation segments, lower our overhead and support costs, and transform our digital capabilities. We have commenced our plan to consolidate our sortation facilities and equipment, reduce pickup-and-delivery routes, and optimize our enterprise linehaul network by moving beyond discrete collaboration to an end-to-end optimized network through Network 2.0, the multi-year effort to improve the efficiency with which we pick up, transport, and deliver packages in the U.S. and Canada.

We have implemented Network 2.0 optimization in more than 200 locations in the U.S. and Canada. Contracted service providers will handle the pickup and delivery of Federal Express packages in some locations while employee couriers will handle others.

In June 2024, Federal Express announced a workforce reduction plan in Europe as part of its ongoing measures to reduce structural costs. The plan will impact approximately 1,500 employees in Europe across back-office and commercial functions. The execution of the plan is subject to a consultation process that is expected to occur over an 18-month period in accordance with local country processes and regulations. In the nine-month period ended February 28, 2025, we incurred $220 million of costs related to this plan. We expect the pre-tax cost of the severance benefits and legal and professional fees to be provided under and related to the plan to range from $250 million to $300 million in cash expenditures. These charges are expected to be incurred through fiscal year 2026 and will be classified as business optimization expenses.

We incurred costs associated with our business optimization activities, including the workforce reduction plan in Europe, of $179 million ($137 million, net of tax, or $0.56 per diluted share) in the three-month period ended February 28, 2025 and $633 million ($484 million, net of tax, or $1.98 per diluted share) in the nine-month period ended February 28, 2025. These costs were primarily related to severance and professional services and are included in Federal Express and Corporate, other, and eliminations. We recognized $114 million ($87 million, net of tax, or $0.35 per diluted share) in the three-month period ended February 29, 2024 and $364 million ($278 million, net of tax, or $1.10 per diluted share) in the nine-month period ended February 29, 2024. These costs were primarily related to professional services and severance and are included in Corporate, other, and eliminations and Federal Express.

FEDEX FREIGHT SPIN-OFF COSTS. We incurred costs related to the planned spin-off of FedEx Freight of $23 million ($17 million, net of tax, or $0.07 per diluted share) in the third quarter of 2025. These costs consist of $18 million related to the debt exchange offer and consent solicitation transactions discussed in Note 4 below which is included in interest, net and $5 million of professional fees which is included in other. We did not incur any FedEx Freight spin-off costs in the first half of 2025 or in the three or nine months of 2024.

DERIVATIVE FINANCIAL INSTRUMENTS. We enter into derivative financial instruments to reduce the effects of volatility in foreign currency exchange exposure on operating results and cash flows. Our derivative financial instruments are used to manage differences in the amount, timing, and duration of cash receipts and cash payments principally related to our investments. We use debt denominated in foreign currency and fixed-to-fixed cross-currency swaps to hedge our exposure to changes in foreign exchange rates on certain of our foreign investments.

As of February 28, 2025, we had €153 million of debt designated as a net investment hedge to reduce the volatility of the U.S. dollar value of a portion of our net investment in a euro-denominated consolidated subsidiary.

As of February 28, 2025, we had four cross-currency swaps outstanding, and the fair value of the swaps classified as assets and liabilities was $18 million and $13 million, respectively. As of May 31, 2024, the fair value of the swaps classified as assets and liabilities was $8 million and $14 million, respectively. We record all derivatives on the balance sheet at fair value within either “Prepaid expenses and other” or “Other liabilities” in the accompanying unaudited condensed consolidated balance sheets. For debt and foreign currency derivatives designated as net investment hedges, the gain or loss on the derivative is reported in “Accumulated other comprehensive loss” (“AOCL”) as part of the cumulative translation adjustment. The estimated fair values were determined using pricing models that rely on market-based inputs such as foreign currency exchange rates and yield curves, and are classified as Level 2 within the fair value hierarchy. This classification is defined as a fair value determined using market-based inputs other than quoted prices that are observable for the derivative financial instruments, either directly or indirectly.

As of February 28, 2025, our net investment hedges remain effective.

SUPPLIER FINANCE PROGRAM. We offer voluntary Supply Chain Finance (“SCF”) programs through financial institutions to certain of our suppliers. We agree to commercial terms with our suppliers, including prices, quantities, and payment terms, and they issue invoices to us based on the agreed-upon contractual terms. If our suppliers choose to participate in the SCF programs, they determine which invoices, if any, to sell to the financial institutions to receive an early discounted payment, while we settle the net payment amount with the financial institutions on the payment due dates. We guarantee these payments with the financial institutions.

Amounts due to our suppliers that participate in the SCF programs are included in “Accounts payable” in the accompanying unaudited condensed consolidated balance sheets. We have been informed by the participating financial institutions that as of February 28, 2025 and May 31, 2024, suppliers have been approved to sell to them $87 million and $94 million, respectively, of our outstanding payment

obligations. A rollforward of obligations confirmed and paid during the nine-month period ended February 28, 2025 is presented below (in millions):

Confirmed obligations outstanding at beginning of period	$	94
Invoices confirmed during the period		457
Confirmed invoices paid during the period		(460)
Currency translation adjustments		(4)
Confirmed obligations outstanding at end of period	$	87

RECENT ACCOUNTING GUIDANCE. New accounting rules and disclosure requirements can significantly affect our reported results and the comparability of our financial statements. We believe the following new accounting guidance is relevant to the readers of our financial statements.

Accounting Standards Not Yet Adopted

In March 2020, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2020-04, Reference Rate Reform (Topic 848), and in December 2022 subsequently issued ASU 2022-06, to temporarily ease the potential burden in accounting for reference rate reform. The standards provide optional expedients and exceptions for applying accounting principles generally accepted in the United States to existing contracts, hedging relationships, and other transactions affected by reference rate reform. The standards apply only to contracts and hedging relationships that reference the London Interbank Offered Rate ("LIBOR") or another reference rate to be discontinued because of reference rate reform. The standards were effective upon issuance and can generally be applied through December 31, 2024. While there has been no material effect to our financial condition, results of operations, or cash flows from reference rate reform as of February 28, 2025, we continue to monitor our contracts and transactions for potential application of these ASUs.

In November 2023, the FASB issued ASU 2023-07, Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures, which expands disclosures about a public entity's reportable segments and requires more enhanced information about a reportable segment's expenses, interim segment profit or loss, and how a public entity's chief operating decision maker uses reported segment profit or loss information in assessing segment performance and allocating resources. The update will be effective for annual periods beginning after December 15, 2023, and interim periods within annual periods beginning after December 15, 2024. We are assessing the effect of this update on our consolidated financial statements and related disclosures.

In December 2023, the FASB issued ASU 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures, which expands disclosures in an entity's income tax rate reconciliation table and regarding cash taxes paid both in the U.S. and foreign jurisdictions. The update will be effective for annual periods beginning after December 15, 2024. We are assessing the effect of this update on our consolidated financial statements and related disclosures.

In March 2024, the SEC adopted final rules requiring public entities to provide certain climate-related information in their registration statements and annual reports. As part of the disclosures, entities will be required to quantify certain effects of severe weather events and other natural conditions in a note to their audited financial statements. The rules were originally scheduled to be effective for annual periods beginning in calendar 2025. In April 2024, the SEC voluntarily stayed implementation of the final rules pending certain legal challenges and in February 2025 requested that the court not schedule the matter for argument in order to allow time for the SEC to determine appropriate next steps. We are assessing the effect of the new rules on our consolidated financial statements and related disclosures.

In November 2024, the FASB issued ASU 2024-03, Income Statement–Reporting Comprehensive Income–Expense Disaggregation Disclosures (Subtopic 220-40): Disaggregation of Income Statement Expenses, which expands disclosures about specific expense categories at interim and annual reporting periods. The update will be effective for annual periods beginning after December 15, 2026 and interim periods beginning after December 15, 2027. We are assessing the effect of this update on our consolidated financial statements and related disclosures.

INVESTMENTS IN EQUITY AND DEBT SECURITIES. Investments in equity securities with a readily determinable fair value are carried at fair value and are classified as Level 1 investments in the fair value hierarchy. Level 1 investments are valued at the closing price or last trade reported on the major market on which the individual securities are traded. For equity securities without readily determinable fair values that qualify for the net asset value ("NAV") practical expedient, we have elected to apply the NAV practical expedient to estimate fair value. Changes in fair value are recognized in "Other (expense) income" in the accompanying unaudited condensed consolidated statements of income.

We apply the measurement alternative to all other investments in equity securities without a readily determinable fair value. Under the measurement alternative these equity securities are accounted for at cost, with adjustments for observable changes in prices and impairments recognized in "Other (expense) income" on our accompanying unaudited condensed consolidated statements of income.

We perform a qualitative assessment each reporting period to evaluate whether these equity securities are impaired. Our assessment includes a review of recent operating results and trends and other publicly available data. If an investment is impaired, we write it down to its estimated fair value.

Equity securities totaled $447 million and $360 million at February 28, 2025 and May 31, 2024, respectively. Equity securities are recorded within "Other assets" in the accompanying unaudited condensed consolidated balance sheets.

Debt securities, which are considered short-term investments, are classified as "available-for-sale" and are carried at fair value. Debt securities are Level 2 within the fair value hierarchy. Realized gains and losses on available-for-sale debt securities are included in net income, while unrealized gains and losses, net of tax, are included in AOCL in the accompanying unaudited condensed consolidated balance sheets.

Debt securities totaled $72 million and $77 million at February 28, 2025 and May 31, 2024, respectively. Debt securities are recorded within "Prepaid expenses and other" in the accompanying unaudited condensed consolidated balance sheets.

TREASURY SHARES. In December 2021, our Board of Directors authorized a stock repurchase program of up to $5.0 billion of FedEx common stock. In March 2024, our Board of Directors authorized a new stock repurchase program for additional repurchases of up to $5.0 billion of FedEx common stock. As of May 31, 2024, $64 million remained available to be used for repurchases under the 2021 program.

During the three-month period ended February 28, 2025, 1.8 million shares were repurchased through open market transactions at an average price of $276.26 per share for a total of $497 million. During the nine-month period ended February 28, 2025, we repurchased 8.9 million shares of FedEx common stock through accelerated share repurchase ("ASR") and open market transactions at an average price of $281.74 per share for a total of $2.5 billion. As of February 28, 2025, $2.6 billion remained available to use for repurchases under the 2024 stock repurchase program.

The final number of shares delivered upon settlement of the ASR agreements was determined based on a discount to the volume-weighted average price of our stock during the term of the transaction. The repurchased shares were accounted for as a reduction to common stockholders' investment in the accompanying unaudited condensed consolidated balance sheet and resulted in a reduction of the outstanding shares used to calculate the weighted-average common shares outstanding for basic and diluted earnings per share.

During the nine-month period ended February 29, 2024, 8.0 million shares were repurchased at an average price of $250.95 per share for a total of $2.0 billion.

Shares under the 2024 repurchase program may be repurchased from time to time in the open market or in privately negotiated transactions. The timing and volume of repurchases are at the discretion of management, based on the capital needs of the business, the market price of FedEx common stock, and general market conditions. No time limits were set for the completion of the program; however, we may decide to suspend or discontinue the program at any time.

DIVIDENDS DECLARED PER COMMON SHARE. On February 14, 2025, our Board of Directors declared a quarterly cash dividend of $1.38 per share of common stock. The dividend will be paid on April 1, 2025 to stockholders of record as of the close of business on March 10, 2025. Each quarterly dividend payment is subject to review and approval by our Board of Directors, and we evaluate our dividend payment amount on an annual basis. There are no material restrictions on our ability to declare dividends, nor are there any material restrictions on the ability of our subsidiaries to transfer funds to us in the form of cash dividends, loans, or advances.

NOTE 2: CREDIT LOSSES

We are exposed to credit losses primarily through our trade receivables. We assess ability to pay for certain customers by conducting a credit review, which considers the customer's established credit rating and our assessment of creditworthiness. We determine the allowance for credit losses on accounts receivable using a combination of specific reserves for accounts that are deemed to exhibit credit loss indicators and general reserves that are determined using loss rates based on historical write-offs by geography and recent forecast information, including underlying economic expectations. We update our estimate of credit loss reserves quarterly.

Credit losses were $132 million for the three-month period ended February 28, 2025 and $382 million for the nine-month period ended February 28, 2025. Credit losses were $106 million for the three-month period ended February 29, 2024 and $323 million for the nine-month period ended February 29, 2024. Our allowance for credit losses was $415 million at February 28, 2025 and $436 million at May 31, 2024.

NOTE 3: ACCUMULATED OTHER COMPREHENSIVE LOSS

The following table provides changes in AOCL, net of tax, reported in our unaudited condensed consolidated financial statements for the periods ended February 28, 2025 and February 29, 2024 (in millions; amounts in parentheses indicate debits to AOCL):

	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Foreign currency translation loss:				
Balance at beginning of period	$ (1,574)	$ (1,362)	$ (1,422)	$ (1,362)
Translation adjustments	17	(39)	(135)	(39)
Balance at end of period	(1,557)	(1,401)	(1,557)	(1,401)
Retirement plans adjustments:				
Balance at beginning of period	59	68	63	35
Prior service credit arising during period	—	—	—	36
Reclassifications from AOCL	(1)	(2)	(5)	(5)
Balance at end of period	58	66	58	66
AOCL at end of period	$ (1,499)	$ (1,335)	$ (1,499)	$ (1,335)

NOTE 4: FINANCING ARRANGEMENTS

We have a shelf registration statement filed with the SEC that allows us to sell, in one or more future offerings, any combination of our unsecured debt securities and common stock and allows pass-through trusts formed by Federal Express to sell, in one or more future offerings, pass-through certificates.

Federal Express has issued $970 million of Pass-Through Certificates, Series 2020-1AA (the "Certificates") with a fixed interest rate of 1.875% due in February 2034 utilizing pass-through trusts. The Certificates are secured by 19 Boeing aircraft with a net book value of $1.6 billion at February 28, 2025. The payment obligations of Federal Express in respect of the Certificates are fully and unconditionally guaranteed by FedEx.

We have a $1.75 billion three-year credit agreement (the "Three-Year Credit Agreement") and a $1.75 billion five-year credit agreement (the "Five-Year Credit Agreement" and together with the Three-Year Credit Agreement, the "Credit Agreements"). The Three-Year Credit Agreement and the Five-Year Credit Agreement expire in March 2027 and March 2029, respectively, and each has a $125 million letter of credit sublimit. The Credit Agreements are available to finance our operations and other cash flow needs. As of February 28, 2025, no amounts were outstanding under the Credit Agreements, no commercial paper was outstanding, and we had $250 million of the letter of credit sublimit unused under the Credit Agreements. Outstanding commercial paper reduces the amount available to borrow under the Credit Agreements.

The Credit Agreements contain a financial covenant requiring us to maintain a ratio of debt to consolidated earnings (excluding noncash retirement plans mark-to-market adjustments, noncash pension service costs, noncash asset impairment charges, business optimization and restructuring expenses, and pro forma cost savings and synergies associated with an acquisition) before interest, taxes, depreciation, and amortization ("adjusted EBITDA") of not more than 3.5 to 1.0, calculated as of the last day of each fiscal quarter on a rolling four-quarters basis. The ratio of our debt to adjusted EBITDA was 1.8 at February 28, 2025. Additional information on the financial covenant can be found in our Annual Report.

The financial covenant discussed above is the only significant restrictive covenant in the Credit Agreements. The Credit Agreements contain other customary covenants that do not, individually or in the aggregate, materially restrict the conduct of our business. We are in compliance with the financial covenant and all other covenants in the Credit Agreements and do not expect the covenants to affect our operations, including our liquidity or expected funding needs. If we failed to comply with the financial covenant or any other covenants in the Credit Agreements, our access to financing could become limited. Our commercial paper program is backed by unused commitments under the Credit Agreements, and borrowings under the program reduce the amount available under the Credit Agreements.

Long-term debt, including current maturities and exclusive of finance leases, had carrying values of $19.6 billion at February 28, 2025 and $19.8 billion at May 31, 2024, compared with estimated fair values of $17.5 billion at February 28, 2025 and $17.5 billion at May 31, 2024. The annualized weighted-average interest rate on long-term debt was 3.5% at February 28, 2025. The estimated fair values were determined based on quoted market prices and the current rates offered for debt with similar terms and maturities. The fair value of our long-term debt is classified as Level 2 within the fair value hierarchy.

DEBT EXCHANGE OFFERS AND CONSENT SOLICITATIONS. In January 2025, in connection with the planned separation of FedEx Freight, we commenced offers to exchange any and all of $16.2 billion of FedEx's outstanding senior notes (22 series in total) for new notes to be issued by FedEx. Concurrently with the exchange offers, we also solicited consents from eligible holders of such

notes to adopt certain proposed amendments to each of the indentures governing such notes to provide for the automatic and unconditional release and discharge of the guarantee of FedEx Freight with respect to that series of notes at the time FedEx Freight ceases to be a subsidiary of FedEx in connection with the planned separation (the "Proposed Amendments").

We completed the exchange offers and consent solicitations in February 2025. An aggregate of $10.7 billion principal amount of U.S. dollar-denominated notes and €940 million principal amount of euro-denominated notes were validly tendered and not properly withdrawn, and the requisite consents were received to adopt the Proposed Amendments with respect to an aggregate of $15.9 billion principal amount of our outstanding senior notes (21 of the 22 series in scope). The new notes issued in connection with the exchange offer have the same interest rate, interest payment dates, maturity date, and optional redemption provisions as the corresponding series of existing notes; provided that (a) the methodology for calculating any make-whole redemption price for the USD-denominated notes will reflect the SIFMA model provisions and (b) FedEx will be permitted to deliver notices of redemption that are subject to one or more conditions precedent with respect to the notes.

NOTE 5: ACQUISITIONS

On February 4, 2025, we acquired RouteSmart Technologies, Inc. ("RouteSmart"), a global leader in route planning and optimization solutions, for $113 million in FedEx common shares from treasury stock and cash from operations. The majority of the purchase price was allocated to intangible assets and goodwill. The financial results of RouteSmart are included in the FedEx Dataworks operating segment under "Corporate, other and eliminations" from the date of acquisition and were not material to our results of operations or financial condition; therefore, pro forma financial information has not been provided.

NOTE 6: COMPUTATION OF EARNINGS PER SHARE

The calculation of basic and diluted earnings per common share for the periods ended February 28, 2025 and February 29, 2024 was as follows (in millions, except per share amounts):

	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Basic earnings per common share:				
Net earnings allocable to common shares[(1)]	$ 908	$ 878	$ 2,441	$ 2,853
Weighted-average common shares	240	247	242	249
Basic earnings per common share	$ 3.79	$ 3.55	$ 10.09	$ 11.43
Diluted earnings per common share:				
Net earnings allocable to common shares[(1)]	$ 908	$ 878	$ 2,441	$ 2,853
Weighted-average common shares	240	247	242	249
Dilutive effect of share-based awards	2	3	2	3
Weighted-average diluted shares	242	250	244	252
Diluted earnings per common share	$ 3.76	$ 3.51	$ 9.99	$ 11.31
Anti-dilutive options excluded from diluted earnings per common share	4.1	6.3	4.1	6.3

(1) Net earnings available to participating securities were $1 million and $1 million for the three-month periods ended February 28, 2025 and February 29, 2024, respectively, and $3 million and $4 million for the nine-month periods ended February 28, 2025 and February 29, 2024, respectively.

NOTE 7: RETIREMENT PLANS

We sponsor programs that provide retirement benefits to most of our employees. These programs include defined benefit pension plans, defined contribution plans, and postretirement healthcare plans. Key terms of our retirement plans are provided in our Annual Report.

Our retirement plans costs for the periods ended February 28, 2025 and February 29, 2024 were as follows (in millions):

	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Defined benefit pension plans	$ 69	$ 92	$ 209	$ 274
Defined contribution plans	278	240	853	722
Postretirement healthcare plans	22	20	65	64
	$ 369	$ 352	$ 1,127	$ 1,060

Net periodic benefit cost of the pension and postretirement healthcare plans for the periods ended February 28, 2025 and February 29, 2024 included the following components (in millions):

	Three Months Ended					
	U.S. Pension Plans		International Pension Plans		Postretirement Healthcare Plans	
	2025	2024	2025	2024	2025	2024
Service cost	$ 125	$ 136	$ 9	$ 9	$ 6	$ 7
Other retirement plans expense (income):						
Interest cost	361	341	10	10	17	15
Expected return on plan assets	(430)	(400)	(4)	(2)	—	—
Amortization of prior service credit and other	(2)	(2)	—	—	(1)	(2)
	(71)	(61)	6	8	16	13
Net periodic benefit cost	$ 54	$ 75	$ 15	$ 17	$ 22	$ 20

	Nine Months Ended					
	U.S. Pension Plans		International Pension Plans		Postretirement Healthcare Plans	
	2025	2024	2025	2024	2025	2024
Service cost	$ 374	$ 408	$ 29	$ 29	$ 19	$ 21
Other retirement plans expense (income):						
Interest cost	1,085	1,022	32	32	49	45
Expected return on plan assets	(1,290)	(1,199)	(16)	(13)	—	—
Amortization of prior service credit and other	(6)	(5)	1	—	(3)	(2)
	(211)	(182)	17	19	46	43
Net periodic benefit cost	$ 163	$ 226	$ 46	$ 48	$ 65	$ 64

For 2025, no pension contributions are required for our tax-qualified U.S. domestic pension plan ("U.S. Pension Plan") as it is fully funded under the Employee Retirement Income Security Act. We made voluntary contributions of $800 million to our U.S. Pension Plan during the nine-month period ended February 28, 2025.

NOTE 8: BUSINESS SEGMENT INFORMATION

We provide a broad portfolio of transportation, e-commerce, and business services, offering integrated business solutions utilizing our flexible, efficient, and intelligent global network. Our primary operating companies are Federal Express, the world's largest express transportation company and a leading North American provider of small-package ground delivery services, and FedEx Freight, a leading North American provider of LTL freight transportation services. These companies represent our major service lines and constitute our reportable segments. Our reportable segments include the following businesses:

Federal Express Segment	Federal Express (express transportation, small-package ground delivery, and freight transportation)
FedEx Freight Segment	FedEx Freight (LTL freight transportation) FedEx Custom Critical (time-critical transportation)

References to our transportation segments include, collectively, the Federal Express segment and the FedEx Freight segment.

The Federal Express segment operates combined sales, marketing, administrative, and information-technology functions in shared service operations for U.S. customers of our major business units and certain back-office support to FedEx Freight and our other operating segments which allows us to obtain synergies from the combination of these functions. We allocate the net operating costs of these services to reflect the full cost of operating our businesses in the results of those segments. We review and evaluate the performance of FedEx Freight and our other operating segments based on operating income inclusive of these allocations.

Operating expenses for our FedEx Freight segment include allocations of these services from the Federal Express segment. These allocations also include charges and credits for administrative services provided between operating companies. The allocations of net operating costs are based on metrics such as relative revenue or estimated services provided. We believe these allocations approximate the net cost of providing these functions. Our allocation methodologies are refined periodically, as necessary, to reflect changes in our businesses.

Corporate, Other, and Eliminations

Corporate and other includes corporate headquarters costs for executive officers and certain legal and finance functions, certain other costs and credits not attributed to our core business, and certain costs associated with developing integrated business solutions through our FedEx Dataworks operating segment. FedEx Dataworks is focused on creating solutions to transform the digital and physical experiences of our customers and team members.

Also included in Corporate and other are the FedEx Office operating segment, which provides an array of document and business services and retail access to our customers for our package transportation businesses, and the FedEx Logistics operating segment, which provides integrated supply chain management solutions, specialty transportation, customs brokerage, and global ocean and air freight forwarding.

The results of Corporate, other, and eliminations are not allocated to the other business segments.

Certain FedEx operating companies provide transportation and related services for other FedEx companies outside their reportable segment in order to optimize our resources. Billings for such services are based on negotiated rates and are reflected as revenue of the billing segment. These rates are adjusted from time to time based on market conditions. Such intersegment revenue and expenses are eliminated in our consolidated results and are not separately identified in the following segment information because the amounts are not material.

The following table provides a reconciliation of reportable segment revenue and operating income (loss) to our unaudited condensed consolidated financial statement totals for the periods ended February 28, 2025 and February 29, 2024 (in millions):

	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Revenue:				
Federal Express segment	$ 19,181	$ 18,672	$ 56,327	$ 55,871
FedEx Freight segment	2,089	2,205	6,595	7,042
Other and eliminations	890	861	2,784	2,671
	$ 22,160	$ 21,738	$ 65,706	$ 65,584
Operating income (loss):				
Federal Express segment	$ 1,294	$ 1,173	$ 3,299	$ 3,514
FedEx Freight segment	261	341	1,012	1,314
Corporate, other, and eliminations	(263)	(271)	(887)	(824)
	$ 1,292	$ 1,243	$ 3,424	$ 4,004

The following table provides a reconciliation of reportable segment assets to our unaudited condensed consolidated financial statement totals as of the periods presented (in millions):

	February 28, 2025 (Unaudited)	May 31, 2024
Total assets:		
Federal Express segment	$ 72,252	$ 73,259
FedEx Freight segment	12,479	11,615
Corporate, other, and eliminations	312	2,133
	$ 85,043	$ 87,007

NOTE 9: COMMITMENTS

As of February 28, 2025, our purchase commitments under various contracts for the remainder of 2025 and annually thereafter were as follows (in millions):

	Aircraft and Aircraft Related	Other[(1)]	Total
2025 (remainder)	$ 429	$ 192	$ 621
2026	925	800	1,725
2027	278	560	838
2028	587	395	982
2029	393	323	716
Thereafter	1,258	100	1,358
Total	$ 3,870	$ 2,370	$ 6,240

(1) Primarily software and advertising.

The amounts reflected in the table above for purchase commitments represent noncancelable agreements to purchase goods or services. Open purchase orders that are cancelable are not considered unconditional purchase obligations for financial reporting purposes and are not included in the table above.

As of February 28, 2025, we had $594 million in deposits and progress payments on aircraft purchases and other planned aircraft-related transactions. These deposits are classified in the “Other assets” caption of our accompanying unaudited condensed consolidated balance sheets. Aircraft and related contracts are subject to price escalations. The following table is a summary of the key aircraft we are committed to purchase as of February 28, 2025 with the year of expected delivery:

	Cessna SkyCourier 408	ATR 72-600F	B767F	B777F	Total
2025 (remainder)	5	1	2	2	10
2026	18	6	7	—	31
2027	—	—	—	—	—
2028	—	4	—	2	6
2029	—	4	—	—	4
Thereafter	—	2	—	—	2
Total	23	17	9	4	53

A summary of future minimum lease payments under noncancelable operating and finance leases with an initial or remaining term in excess of one year as of February 28, 2025 is as follows (in millions):

	Aircraft and Related Equipment	Facilities and Other	Total Operating Leases	Finance Leases	Total Leases
2025 (remainder)	$ 32	$ 603	$ 635	$ 13	$ 648
2026	125	3,065	3,190	57	3,247
2027	124	2,684	2,808	56	2,864
2028	124	2,338	2,462	56	2,518
2029	117	1,959	2,076	53	2,129
Thereafter	138	9,179	9,317	655	9,972
Total lease payments	660	19,828	20,488	890	21,378
Less imputed interest	(73)	(3,525)	(3,598)	(328)	(3,926)
Present value of lease liability	$ 587	$ 16,303	$ 16,890	$ 562	$ 17,452

While certain of our lease agreements contain covenants governing the use of the leased assets or require us to maintain certain levels of insurance, none of our lease agreements include material financial covenants or limitations.

As of February 28, 2025, FedEx has entered into additional leases which have not yet commenced and are therefore not part of the right-of-use asset and liability. These leases are generally for build-to-suit facilities and have undiscounted future payments of

approximately $0.9 billion that will commence when FedEx gains beneficial access to the leased asset. Commencement dates are expected to be from 2025 to 2027.

In March 2025, Federal Express exercised options to purchase eight B777F aircraft, three of which are expected to be delivered in calendar year 2026 and five of which are expected to be delivered in calendar year 2027.

NOTE 10: CONTINGENCIES

Service Provider Lawsuits. Federal Express, as successor to FedEx Ground, is defending against lawsuits in which it is alleged that Federal Express should be treated as an employer or joint employer of drivers employed by service providers engaged by Federal Express. These cases are in varying stages of litigation, and we are not currently able to estimate an amount or range of potential loss in all of these matters. However, we do not expect to incur, individually or in the aggregate, a material loss in these matters. Nevertheless, adverse determinations in these matters could, among other things, entitle service providers' drivers to certain payments, including wages and penalties, from the service providers and Federal Express and result in employment and withholding tax and benefit liability for Federal Express. We continue to believe that Federal Express is not an employer or joint employer of the drivers of these independent businesses.

FedEx Ground Negligence Lawsuit. In December 2022, FedEx Ground was named as a defendant in a lawsuit filed in Texas state court related to the alleged kidnapping and first-degree murder of a minor by a driver employed by a service provider engaged by FedEx Ground. The complaint alleged compensatory and punitive damages against FedEx Ground for negligence and gross negligence, hiring and retention, as well as negligent entrustment. The service provider and driver were also named as defendants in the lawsuit. In February 2025, we reached an agreement to settle the lawsuit for an amount below the previously established immaterial accrual. The accrual now reflects the amount of the settlement.

Other Matters. FedEx and its subsidiaries are subject to other legal proceedings that arise in the ordinary course of business, including certain lawsuits containing various class-action allegations of wage-and-hour violations in which plaintiffs claim, among other things, that they were forced to work "off the clock," were not paid overtime, or were not provided work breaks or other benefits, as well as other lawsuits containing allegations that FedEx and its subsidiaries are responsible for third-party losses related to vehicle accidents that could exceed our insurance coverage for such losses. In the opinion of management, the aggregate liability, if any, with respect to these other actions will not have a material adverse effect on our financial position, results of operations, or cash flows.

Environmental Matters. SEC regulations require us to disclose certain information about proceedings arising under federal, state, or local environmental provisions involving a governmental authority as a party if we reasonably believe that such proceedings may result in monetary sanctions above a stated threshold. Pursuant to the SEC regulations, FedEx uses a threshold of $1 million or more for purposes of determining whether disclosure of any such proceedings is required. Applying this threshold, there are no environmental matters required to be disclosed for this period.

NOTE 11: SUPPLEMENTAL CASH FLOW INFORMATION

Cash paid for interest expense and income taxes for the nine-month periods ended February 28, 2025 and February 29, 2024 was as follows (in millions):

	2025	2024
Cash payments for:		
Interest (net of capitalized interest)	$ 582	$ 538
Income taxes	$ 1,223	$ 1,265
Income tax refunds received	(26)	(97)
Cash tax payments/(refunds), net	$ 1,197	$ 1,168

Noncash investing and financing activities for the nine-month periods ended February 28, 2025 and February 29, 2024 was as follows (in millions):

	2025	2024
Assets obtained in exchange for finance lease obligations	$ 167	$ 10
Shares of common stock issued from treasury stock for acquisition	$ 90	$ —

REPORT OF INDEPENDENT REGISTERED
PUBLIC ACCOUNTING FIRM

To the Stockholders and Board of Directors of
FedEx Corporation

Results of Review of Interim Financial Statements

We have reviewed the accompanying condensed consolidated balance sheet of FedEx Corporation (the Company) as of February 28, 2025, the related condensed consolidated statements of income, comprehensive income, and changes in common stockholders' investment for the three- and nine-month periods ended February 28, 2025 and February 29, 2024, the condensed consolidated statements of cash flows for the nine-month periods ended February 28, 2025 and February 29, 2024, and the related notes (collectively referred to as the "condensed consolidated interim financial statements"). Based on our reviews, we are not aware of any material modifications that should be made to the condensed consolidated interim financial statements for them to be in conformity with U.S. generally accepted accounting principles.

We have previously audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated balance sheet of the Company as of May 31, 2024, the related consolidated statements of income, comprehensive income, cash flows, and changes in common stockholders' investment for the year then ended, and the related notes (not presented herein); and in our report dated July 15, 2024, we expressed an unqualified audit opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated balance sheet as of May 31, 2024, is fairly stated, in all material respects, in relation to the consolidated balance sheet from which it has been derived.

Basis for Review Results

These financial statements are the responsibility of the Company's management. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the SEC and the PCAOB. We conducted our review in accordance with the standards of the PCAOB. A review of interim financial statements consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with the standards of the PCAOB, the objective of which is the expression of an opinion regarding the financial statements taken as a whole. Accordingly, we do not express such an opinion.

/s/ Ernst & Young LLP

Memphis, Tennessee
March 20, 2025

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

GENERAL

The following Management's Discussion and Analysis of Results of Operations and Financial Condition ("MD&A") describes the principal factors affecting the results of operations, liquidity, capital resources, and critical accounting estimates of FedEx Corporation ("FedEx"). This discussion should be read in conjunction with the accompanying quarterly unaudited condensed consolidated financial statements and our Annual Report on Form 10-K for the year ended May 31, 2024 ("Annual Report"). Our Annual Report includes additional information about our significant accounting policies, practices, and the transactions that underlie our financial results, as well as a detailed discussion of the most significant risks and uncertainties associated with our financial condition and operating results.

We provide a broad portfolio of transportation, e-commerce, and business services, offering integrated business solutions utilizing our flexible, efficient, and intelligent global network. Our primary operating companies are Federal Express Corporation ("Federal Express"), the world's largest express transportation company and a leading North American provider of small-package ground delivery services, and FedEx Freight, Inc. ("FedEx Freight"), a leading North American provider of less-than-truckload ("LTL") freight transportation services. See "Reportable Segments" for further discussion. Additional information on our businesses can be found in our Annual Report.

In connection with our one FedEx consolidation plan, on June 1, 2024, FedEx Ground Package System, Inc. ("FedEx Ground") and FedEx Corporate Services, Inc. ("FedEx Services") were merged into Federal Express, becoming a single company operating a unified, fully integrated air-ground express network under the respected FedEx brand. FedEx Freight continues to provide LTL freight transportation services as a separate subsidiary. Beginning in the first quarter of 2025, Federal Express and FedEx Freight represent our major service lines and constitute our reportable segments. Additionally, the results of FedEx Custom Critical, Inc. ("FedEx Custom Critical") are included in the FedEx Freight segment instead of the Federal Express segment in 2025. Prior-year amounts were revised to reflect this presentation.

In December 2024, we announced that FedEx's Board of Directors decided to pursue a full separation of FedEx Freight through the capital markets, creating a new publicly traded company. The transaction, which would be implemented through the spin-off of shares of the new company to FedEx stockholders, is expected to be tax-free for U.S. federal income tax purposes for FedEx stockholders and be completed by June 2026. See Part II, Item 1A. "Risk Factors – *The planned spin-off of FedEx Freight may not be completed on the terms or timeline currently contemplated, if at all, and there is no guarantee that the spin-off, if completed, will achieve the intended financial and strategic benefits.*"

In January 2025, the Board of Directors approved a change in FedEx's fiscal year end from May 31 to December 31. The fiscal year change will be effective June 1, 2026.

Except as otherwise specified, references to years indicate our fiscal year ending May 31, 2025 or ended May 31 of the year referenced, and comparisons are to the corresponding period of the prior year. References to our transportation segments include, collectively, the Federal Express segment and the FedEx Freight segment.

The key indicators necessary to understand our operating results include:

- the overall customer demand for our various services based on macroeconomic factors and the global economy;
- the volumes of transportation services provided through our networks, primarily measured by our average daily volume and shipment weight and size;
- the mix of services purchased by our customers;
- the prices we obtain for our services, primarily measured by yield (revenue per package or pound or revenue per shipment or hundredweight for LTL freight shipments);
- our ability to manage our cost structure (capital expenditures and operating expenses) to match shifting volume levels; and
- the timing and amount of fluctuations in fuel prices and our ability to recover incremental fuel costs through our fuel surcharges.

Trends Affecting Our Business

The following trends significantly affect the indicators discussed above, as well as our business and operating results. See the risk factors identified under Part I, Item 1A. "Risk Factors" in our Annual Report, as updated by our quarterly reports on Form 10-Q, for more information. Additionally, see "Results of Operations – Consolidated Results – Business Optimization Costs and – Outlook" and "Financial Condition – Liquidity Outlook" below for additional information on efforts we are taking to mitigate adverse trends.

Macroeconomic Conditions

While macroeconomic risks apply to most companies, we are particularly vulnerable. The transportation industry is highly cyclical and especially susceptible to trends in economic activity. Our primary business is to transport goods, so our business levels are directly tied to the purchase and production of goods and the rate of global trade growth. The decline in U.S. imports of consumer goods that started in late 2022, along with slowed global industrial production, has contributed to weakened business conditions for the transportation industry. Consequently, this environment has led to lower shipments at FedEx Freight, negatively affecting our results in the third quarter and nine months of 2025. Additionally, the U.S. presidential administration is in the process of significantly increasing the rates and broadening the scope of tariffs imposed on goods imported into the U.S. In response, several foreign governments have imposed new tariffs on certain goods imported from the U.S., and additional retaliatory measures against U.S. goods are expected. These or additional changes in U.S. or international trade policy, along with continued uncertainty surrounding such policies, could lead to further weakened business conditions for the transportation industry.

Inflation and Interest Rates

During the third quarter and nine months of 2025, global inflation decelerated year-over-year but continues to be above historical levels. Additionally, global interest rates remained elevated in an effort to curb inflation. We are experiencing pressure on demand for our transportation services, particularly our priority services, as elevated inflation and interest rates are negatively affecting consumer and business spending. We expect inflation and high interest rates to continue to negatively affect our results of operations for the remainder of 2025. The changes in trade policy discussed above under "Macroeconomic Conditions" could exacerbate global inflation.

Fuel

We must purchase large quantities of fuel to operate our aircraft and vehicles, and the price and availability of fuel is beyond our control and can be highly volatile. The timing and amount of fluctuations in fuel prices and our ability to recover incremental fuel costs through our fuel surcharges can significantly affect our operating results either positively or negatively in the short-term. During the third quarter and nine months of 2025, lower fuel prices negatively affected yields through lower fuel surcharges at FedEx Freight and reduced fuel expense at both of our transportation segments.

Geopolitical Conflicts

Given the nature of our business and global operations, geopolitical conflicts may adversely affect our business and results of operations. While we do not expect ongoing geopolitical conflicts between Russia and Ukraine and in the Middle East to have a direct material effect on our business or results of operations, the broader consequences are adversely affecting the global economy and may also have the effect of heightening other risks disclosed in our Annual Report.

RESULTS OF OPERATIONS

Many of our operating expenses are directly affected by revenue and volume levels, and we expect these operating expenses to fluctuate on a year-over-year basis consistent with changes in revenue and volumes. Therefore, the discussion of operating expense captions focuses on the key drivers and trends affecting expenses other than those factors strictly related to changes in revenue and volumes. The line item "Other" includes costs associated with outside service contracts (such as information technology services, temporary labor, facilities services, and security), insurance, professional fees, and operational supplies.

CONSOLIDATED RESULTS

The following tables compare summary operating results and changes in revenue and operating income (loss) (dollars in millions, except per share amounts) for the periods ended February 28, 2025 and February 29, 2024:

	Three Months Ended		Percent Change	Nine Months Ended		Percent Change
	2025	2024		2025	2024	
Revenue	$ 22,160	$ 21,738	2	$ 65,706	$ 65,584	—
Operating income (loss):						
Federal Express segment	1,294	1,173	10	3,299	3,514	(6)
FedEx Freight segment	261	341	(23)	1,012	1,314	(23)
Corporate, other, and eliminations	(263)	(271)	3	(887)	(824)	(8)
Consolidated operating income	1,292	1,243	4	3,424	4,004	(14)
Operating margin:						
Federal Express segment	6.7%	6.3%	40 bp	5.9%	6.3%	(40) bp
FedEx Freight segment	12.5%	15.5%	(300) bp	15.3%	18.7%	(340) bp
Consolidated operating margin	5.8%	5.7%	10 bp	5.2%	6.1%	(90) bp
Consolidated net income	$ 909	$ 879	3	$ 2,444	$ 2,857	(14)
Diluted earnings per share	$ 3.76	$ 3.51	7	$ 9.99	$ 11.31	(12)

	Year-over-Year Changes			
	Revenue		Operating Income (Loss)	
	Three Months Ended	Nine Months Ended	Three Months Ended	Nine Months Ended
Federal Express segment	$ 509	$ 456	$ 121	$ (215)
FedEx Freight segment	(116)	(447)	(80)	(302)
Corporate, other, and eliminations	29	113	8	(63)
	$ 422	$ 122	$ 49	$ (580)

Overview

Operating income increased 4% in the third quarter and decreased 14% in the nine months of 2025. Operating income for the third quarter and nine months of 2025 was positively affected by continued savings related to DRIVE, increased transportation segment base yields, and higher demand for U.S. ground and international export package services. Our DRIVE initiatives for the nine months of 2025 included the continued transformation of our structural network, improving the efficiency of our information technology and back-office functions, optimizing operations in Europe, and increasing linehaul efficiencies. Operating income for the third quarter and nine months of 2025 was negatively affected by increased purchased transportation and wage rates, the expiration of our contract with the U.S. Postal Service ("USPS"), higher business optimization costs, and lower fuel surcharges at FedEx Freight. The results for the nine months of 2025 were also negatively affected by one fewer operating day.

Operating income includes expenses of $179 million ($137 million, net of tax, or $0.56 per diluted share) in the third quarter and $633 million ($484 million, net of tax, or $1.98 per diluted share) in the nine months of 2025 associated with our business optimization strategy to drive efficiency and lower our overhead and support costs. We recognized $114 million ($87 million, net of tax, or $0.35 per diluted share) of expenses in the third quarter and $364 million ($278 million, net of tax, or $1.10 per diluted share) in the nine months of 2024 under this program. See the "Business Optimization Costs" section of this MD&A for more information.

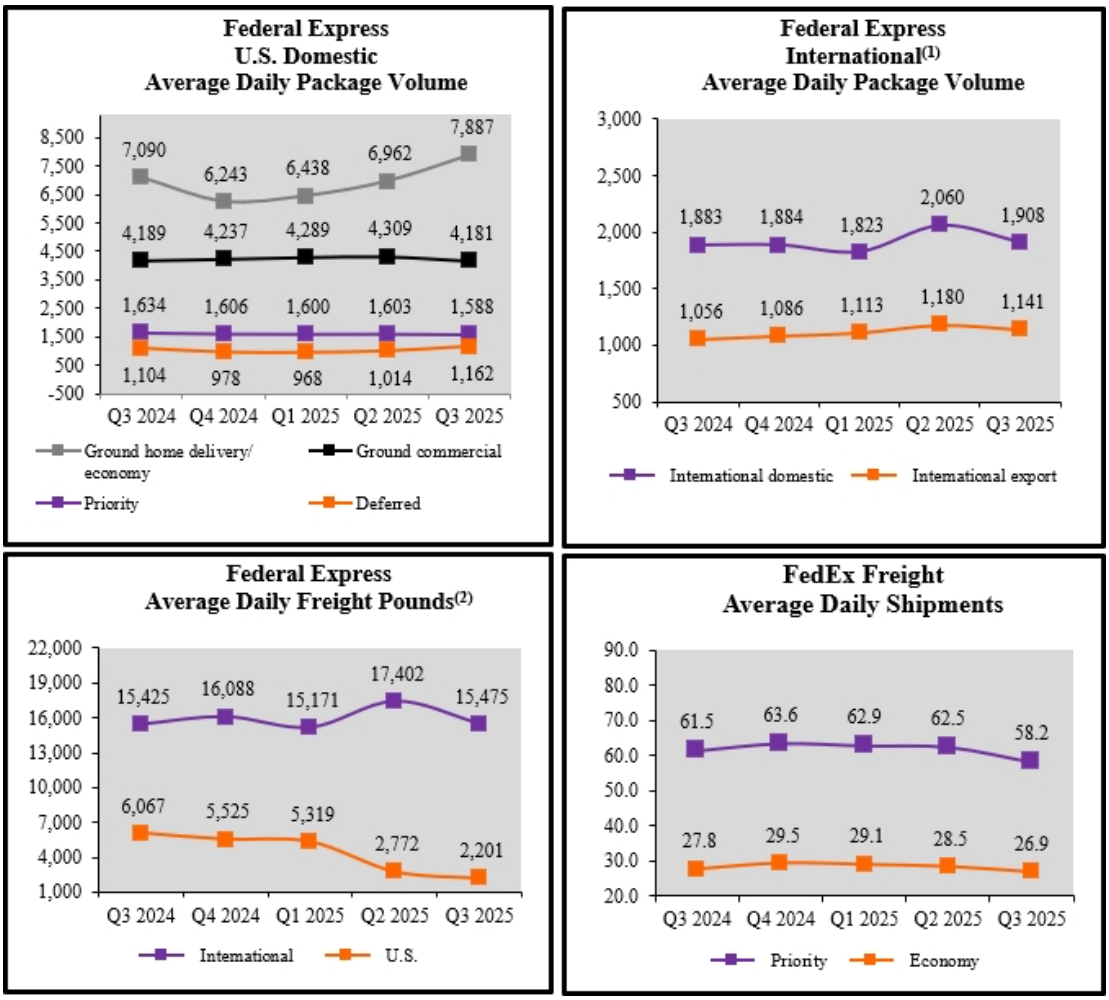
Operating income includes net expenses of $38 million ($29 million, net of tax, or $0.12 per diluted share) in the third quarter of 2025 for international regulatory and legacy FedEx Ground legal matters.

We incurred costs related to the planned spin-off of FedEx Freight of $23 million ($17 million, net of tax, or $0.07 per diluted share) in the third quarter of 2025. These costs consist of $18 million related to the debt exchange offer and consent solicitation transactions discussed in Note 4 of the accompanying unaudited condensed consolidated financial statements which is included in interest, net and $5 million of professional fees which is included in other. We did not incur any FedEx Freight spin-off costs in the first half of 2025 or in the three or nine months of 2024.

We repurchased an aggregate of $497 million of our common stock through open market transactions during the third quarter of 2025. During the nine-month period ended February 28, 2025, we repurchased 8.9 million shares of FedEx common stock through accelerated share repurchase ("ASR") and open market transactions at an average price of $281.74 per share for a total of $2.5 billion. Share repurchases had a benefit of $0.12 per diluted share for the third quarter and $0.21 per diluted share for the nine months of 2025. As of February 28, 2025, $2.6 billion remained available to be used for repurchases under the 2024 stock repurchase program.

See Note 1 of the accompanying unaudited condensed consolidated financial statements, "Financial Condition – Liquidity and – Liquidity Outlook" below, and Part II, Item 2. "Unregistered Sales of Equity Securities and Use of Proceeds" of this Form 10-Q for additional information.

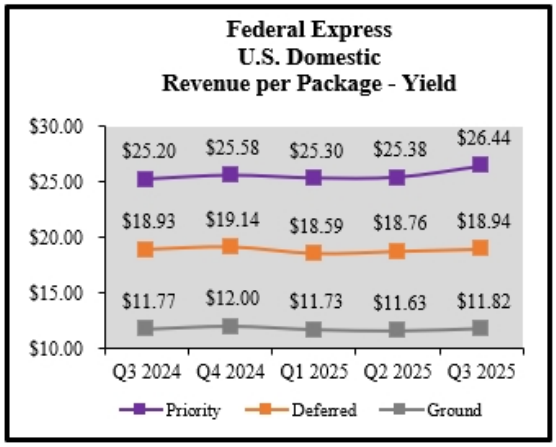
Prior year statistical information has been revised to conform to the current year presentation. The following graphs for Federal Express and FedEx Freight show selected volume trends (in thousands) calculated on a 5-day-per-week basis over the five most recent quarters:

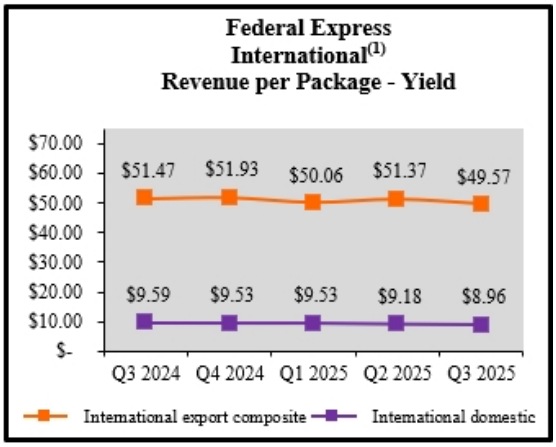


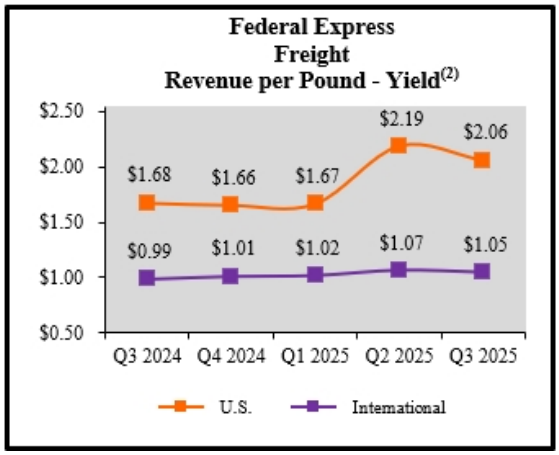
(1) International domestic average daily package volume relates to our international intra-country operations. International export average daily package volume relates to our international priority and economy services.

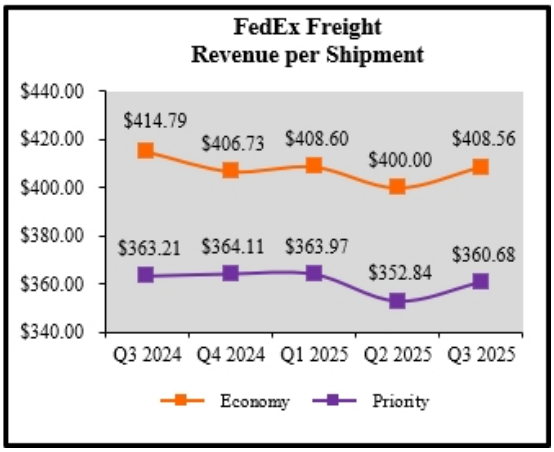
(2) International average daily freight pounds relate to our international priority and economy services.

Prior year statistical information has been revised to conform to the current year presentation. The following graphs for Federal Express and FedEx Freight show selected yield trends over the five most recent quarters:









(1) International export revenue per package relates to our international priority and economy services. International domestic revenue per package relates to our international intra-country operations.

(2) International freight revenue per pound relates to our international priority and economy services.

Revenue

Revenue increased 2% in the third quarter and was flat in the nine months of 2025 primarily due to base yield improvement at both of our transportation segments and higher volume at Federal Express, offset by lower volume and fuel surcharges at FedEx Freight and unfavorable currency exchange rates. The increases in revenue during the nine months of 2025 were also offset by one fewer operating day at both of our transportation segments and reduced demand surcharges at Federal Express.

Federal Express segment revenue increased 3% in the third quarter and 1% in the nine months of 2025 primarily due to increased deferred and U.S. ground package volume and improved base yields, offset by lower priority package volume, the expiration of our contract with the USPS on September 29, 2024, and unfavorable currency exchange rates. Federal Express revenue for the nine months of 2025 was also negatively affected by one fewer operating day and reduced demand surcharges. FedEx Freight revenue decreased 5% in the third quarter and 6% in the nine months of 2025 primarily due to lower shipments, fuel surcharges, and weight per shipment, partially offset by base yield improvement. FedEx Freight revenue for the nine months of 2025 was also negatively affected by one fewer operating day. Revenue at Corporate, other, and eliminations increased in the third quarter and nine months of 2025 primarily due to higher yields and volume at FedEx Logistics, Inc. ("FedEx Logistics").

Operating Expenses

The following table compares operating expenses expressed as dollar amounts (in millions) and as a percent of revenue for the periods ended February 28, 2025 and February 29, 2024:

	Three Months Ended		Percent	Nine Months Ended		Percent
	2025	2024	Change	2025	2024	Change
Operating expenses:						
Salaries and employee benefits	$ 7,879	$ 7,693	2	$ 23,543	$ 23,311	1
Purchased transportation	5,634	5,345	5	16,409	15,776	4
Rentals and landing fees	1,178	1,145	3	3,507	3,434	2
Depreciation and amortization	1,066	1,072	(1)	3,207	3,183	1
Fuel	889	1,140	(22)	2,911	3,569	(18)
Maintenance and repairs	783	804	(3)	2,443	2,482	(2)
Business optimization costs	179	114	57	633	364	74
Other	3,260	3,182	2	9,629	9,461	2
Total operating expenses	20,868	20,495	2	62,282	61,580	1
Operating income	$ 1,292	$ 1,243	4	$ 3,424	$ 4,004	(14)

	Percent of Revenue			
	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Operating expenses:				
Salaries and employee benefits	35.6 %	35.4 %	35.8 %	35.5 %
Purchased transportation	25.4	24.6	25.0	24.1
Rentals and landing fees	5.3	5.3	5.3	5.2
Depreciation and amortization	4.8	4.9	4.9	4.9
Fuel	4.0	5.3	4.4	5.4
Maintenance and repairs	3.6	3.7	3.7	3.8
Business optimization costs	0.8	0.5	1.0	0.6
Other	14.7	14.6	14.7	14.4
Total operating expenses	94.2	94.3	94.8	93.9
Operating margin	5.8 %	5.7 %	5.2 %	6.1 %

Operating income increased 4% in the third quarter and decreased 14% in the nine months of 2025. Operating income for the third quarter and nine months of 2025 was positively affected by continued savings related to DRIVE, increased transportation segment base yields, and higher demand for U.S. ground and international export package services. Operating income for the third quarter and nine months of 2025 was negatively affected by increased purchased transportation and wage rates, the expiration of our contract with the USPS, higher business optimization costs, and lower fuel surcharges at FedEx Freight. The results for the nine months of 2025 were also negatively affected by one fewer operating day.

Purchased transportation expense increased 5% in the third quarter and 4% in the nine months of 2025 primarily due to higher rates as well as an increase in commercial linehaul to support international economy volume growth and network changes, partially offset by savings from our DRIVE initiatives, lower fuel prices, and favorable currency exchange rates. Purchased transportation also increased

in the third quarter of 2025 due to higher U.S. ground volume. Salaries and employee benefits expense increased 2% in the third quarter and 1% in the nine months of 2025 primarily due to an increase in wage rates, increased staffing to align with higher volume, and an increase in retirement benefits due to changes in our deferred contribution plan that increased the number of eligible employees at Federal Express, partially offset by savings from our DRIVE initiatives and favorable currency exchange rates. Variable incentive compensation had a negative effect on salaries and employee benefits expense for the third quarter and a positive effect for the nine months of 2025. Other operating expenses increased 2% in both the third quarter and nine months of 2025 primarily due to an increase in self-insurance accruals. Fuel expense decreased 22% in the third quarter and 18% in the nine months of 2025 primarily due to a decrease in fuel prices and usage.

Business Optimization Costs

In the second quarter of 2023, we announced DRIVE, a comprehensive program to improve long-term profitability. This program includes a business optimization plan to drive efficiency within and among our transportation segments, lower our overhead and support costs, and transform our digital capabilities. We have commenced our plan to consolidate our sortation facilities and equipment, reduce pickup-and-delivery routes, and optimize our enterprise linehaul network by moving beyond discrete collaboration to an end-to-end optimized network through Network 2.0, the multi-year effort to improve the efficiency with which FedEx picks up, transports, and delivers packages in the U.S. and Canada.

We have implemented Network 2.0 optimization in more than 200 locations in the U.S. and Canada. Contracted service providers will handle the pickup and delivery of Federal Express packages in some locations while employee couriers will handle others.

In June 2024, Federal Express announced a workforce reduction plan in Europe as part of its ongoing measures to reduce structural costs. The plan will impact approximately 1,500 employees in Europe across back-office and commercial functions. The execution of the plan is subject to a consultation process that is expected to occur over an 18-month period in accordance with local country processes and regulations. We expect savings from the plan to be between $125 million and $175 million on an annualized basis beginning in 2027.

We incurred business optimization costs, including the workforce reduction plan in Europe, of $179 million ($137 million, net of tax, or $0.56 per diluted share) in the third quarter and $633 million ($484 million, net of tax, or $1.98 per diluted share) in the nine months of 2025. These costs were primarily related to professional services and severance and are included in Federal Express and Corporate, other, and eliminations. We incurred business optimization costs of $114 million ($87 million, net of tax, or $0.35 per diluted share) in the third quarter and $364 million ($278 million, net of tax, or $1.10 per diluted share) in the nine months of 2024. These costs were primarily related to professional services and severance and are included in Corporate, other, and eliminations and Federal Express.

We expect the pre-tax cost of the severance benefits and legal and professional fees to be provided under and related to our workforce reduction plan in Europe to range from $250 million to $300 million in cash expenditures through 2026. In the nine months of 2025, we incurred $220 million of costs related to this plan. We expect the aggregate pre-tax cost of our business optimization activities to be approximately $1.7 billion through 2025. The timing and amount of our business optimization expenses and the related cost savings from the workforce reduction plan may change as we revise and implement our plans. The identification of costs as business optimization-related expenditures is subject to our disclosure controls and procedures.

FedEx Freight Spin-Off Costs

We incurred costs related to the planned spin-off of FedEx Freight of $23 million ($17 million, net of tax, or $0.07 per diluted share) in the third quarter of 2025. These costs are included in Corporate, other, and eliminations and consist of $18 million related to the debt exchange offer and consent solicitation transactions discussed in Note 4 of the accompanying unaudited condensed consolidated financial statements which is included in interest, net and $5 million of professional fees which is included in other. We did not incur any FedEx Freight spin-off costs in the first half of 2025 or in the three or nine months of 2024.

Income Taxes

Our effective tax rate was 23.0% for the third quarter and 24.1% for the nine months of 2025, compared to 25.7% for the third quarter and 25.0% for the nine months of 2024. The third quarter 2025 tax rate was favorably impacted by a net tax benefit of $46 million arising primarily from changes in our corporate legal entity structure and revisions of prior year estimates for actual tax return results.

We are subject to taxation in the U.S. and various U.S. state, local, and foreign jurisdictions. We are currently under examination by the Internal Revenue Service for the 2016 through 2021 tax years. It is reasonably possible that certain income tax return proceedings will be completed during the next 12 months and could result in a change in our balance of unrecognized tax benefits. However, we believe we have recorded adequate amounts of tax, including interest and penalties, for any adjustments expected to occur.

During 2021, we filed suit in U.S. District Court for the Western District of Tennessee challenging the validity of a tax regulation related to the one-time transition tax on foreign earnings not repatriated, which was enacted as part of the Tax Cuts and Jobs Act ("TCJA"). Our lawsuit seeks to have the court declare this regulation invalid and order the refund of overpayments of U.S. federal income taxes for 2018 and 2019 attributable to the denial of foreign tax credits under the regulation. We have recorded a cumulative benefit of $226 million attributable to our interpretation of the TCJA and the Internal Revenue Code. In March 2023, the District Court ruled that the regulation is invalid and contradicts the plain terms of the tax code. On February 13, 2025, the District Court ruled again in our favor with regard to a new argument raised by the U.S. government. We continue to work towards obtaining a final judgment for the applicable refund amounts due to the regulation being invalid. Once the District Court enters a final judgment, the U.S. government could file an appeal with the U.S. Court of Appeals for the Sixth Circuit. If we are ultimately unsuccessful in defending our position, we may be required to reverse the benefit previously recorded.

Outlook

In the remainder of 2025, we expect revenue to continue to be pressured by macroeconomic conditions, including uncertainty related to international trade, negatively affecting customer demand and constraining yield growth. We anticipate a continued mix shift to deferred services offerings to negatively affect results. We will continue to execute on our DRIVE program initiatives focused on reducing our permanent cost structure, aligning our cost base with demand, and increasing the flexibility of our network. We will also continue to execute on our revenue quality strategy and pursue profitable revenue growth opportunities to mitigate the impact of the service mix shift on our yield as well as base yield pressures through surcharge management and optimizing our customer mix. We expect the benefits from DRIVE and revenue quality initiatives to be partially offset by expense headwinds related to higher global inflation, the unfavorable effect of the expiration in September 2024 of the contract for Federal Express to provide the USPS U.S. domestic transportation services, and one fewer operating day in the fourth quarter.

See the "Business Optimization Costs" section of this MD&A for additional information on our DRIVE program, workforce reduction plan in Europe, and other cost savings initiatives.

Our capital expenditures for 2025 are expected to be approximately $4.9 billion, $0.3 billion lower than 2024, as we continue to reduce our capital intensity relative to revenue. Aircraft spend is expected to decline, partially offset by increased investments in network optimization and modernization of our facilities.

We will continue to evaluate our investments in critical long-term strategic projects to ensure our capital expenditures are expected to generate high returns on investment and are balanced with our outlook for global economic conditions. For additional details on key 2025 capital projects, refer to the "Financial Condition – Capital Resources" and "Financial Condition – Liquidity Outlook" sections of this MD&A.

The uncertainty of a slowdown in the global economy, global inflation, geopolitical challenges, developments in international trade, and the effects these factors will have on the rate of growth of global trade, supply chains, fuel prices, and our business in particular, make any expectations for the remainder of 2025 inherently less certain. See "Item 1A. Risk Factors" for more information.

See the "Trends Affecting Our Business," "Critical Accounting Estimates," and "Forward-Looking Statements" sections of this MD&A for additional information.

RECENT ACCOUNTING GUIDANCE

See Note 1 of the accompanying unaudited condensed consolidated financial statements for a discussion of recent accounting guidance.

REPORTABLE SEGMENTS

Federal Express and FedEx Freight represent our major service lines and constitute our reportable segments. Our reportable segments include the following businesses:

Federal Express Segment	Federal Express (express transportation, small-package ground delivery, and freight transportation)
FedEx Freight Segment	FedEx Freight (LTL freight transportation) FedEx Custom Critical (time-critical transportation)

The Federal Express segment operates combined sales, marketing, administrative, and information-technology functions in shared service operations for U.S. customers of our major business units and certain back-office support to FedEx Freight and our other operating segments which allows us to obtain synergies from the combination of these functions. We allocate the net operating costs

of these services to reflect the full cost of operating our businesses in the results of those segments. We review and evaluate the performance of FedEx Freight and our other operating segments based on operating income inclusive of these allocations.

Operating expenses for our FedEx Freight segment include allocations of these services from the Federal Express segment. These allocations also include charges and credits for administrative services provided between operating companies. The allocations of net operating costs are based on metrics such as relative revenue or estimated services provided. We believe these allocations approximate the net cost of providing these functions. Our allocation methodologies are refined periodically, as necessary, to reflect changes in our businesses.

CORPORATE, OTHER, AND ELIMINATIONS

Corporate and other includes corporate headquarters costs for executive officers and certain legal and finance functions, certain other costs and credits not attributed to our core business, and certain costs associated with developing integrated business solutions through our FedEx Dataworks, Inc. ("FedEx Dataworks") operating segment. FedEx Dataworks is focused on creating solutions to transform the digital and physical experiences of our customers and team members.

Also included in Corporate and other are the FedEx Office and Print Services, Inc. ("FedEx Office") operating segment, which provides an array of document and business services and retail access to our customers for our package transportation businesses, and the FedEx Logistics operating segment, which provides integrated supply chain management solutions, specialty transportation, customs brokerage, and global ocean and air freight forwarding.

The results of Corporate, other, and eliminations are not allocated to the other business segments.

Operating results in Corporate, other, and eliminations improved in the third quarter and declined in the nine months of 2025. Increased business optimization costs and outside service contracts expense at FedEx Dataworks were partially offset by lower salaries and employee benefits expense at FedEx Office in both the third quarter and nine months of 2025. FedEx Logistics results also improved in the third quarter of 2025 primarily due to higher revenue and lower salaries and employee benefits expense and other operating expense, which were partially offset by higher purchased transportation expense.

Certain FedEx operating companies provide transportation and related services for other FedEx companies outside their reportable segment in order to optimize our resources. For example, during the third quarter and nine months of 2025 FedEx Freight provided road and intermodal support for Federal Express. In addition, Federal Express works with FedEx Logistics to secure air charters and other cargo space for U.S. customers. Billings for such services are based on negotiated rates and are reflected as revenue of the billing segment. These rates are adjusted from time to time based on market conditions. Such intersegment revenue and expenses are eliminated in our consolidated results and are not separately identified in the following segment information because the amounts are not material.

FEDERAL EXPRESS SEGMENT

Federal Express offers a wide range of U.S. domestic and international shipping services for delivery of packages and freight including priority, deferred, and economy services, which provide delivery on a time-definite or day-definite basis. The following table compares revenue, operating expenses, operating income (dollars in millions), operating margin, and operating expenses as a percent of revenue for the periods ended February 28, 2025 and February 29, 2024:

	Three Months Ended		Percent Change	Nine Months Ended		Percent Change
	2025	2024		2025	2024	
Revenue:						
Package:						
U.S. priority	$ 2,646	$ 2,595	2	$ 7,800	$ 7,873	(1)
U.S. deferred	1,386	1,316	5	3,736	3,710	1
U.S. ground	8,986	8,363	7	25,298	24,805	2
Total U.S. domestic package revenue	13,018	12,274	6	36,834	36,388	1
International priority	2,097	2,317	(9)	6,534	7,034	(7)
International economy	1,465	1,107	32	4,413	3,407	30
Total international export package revenue	3,562	3,424	4	10,947	10,441	5
International domestic[1]	1,078	1,139	(5)	3,380	3,492	(3)
Total package revenue	17,658	16,837	5	51,161	50,321	2
Freight:						
U.S.	286	641	(55)	1,238	1,795	(31)
International priority	551	520	6	1,717	1,641	5
International economy	470	438	7	1,462	1,380	6
Total freight revenue	1,307	1,599	(18)	4,417	4,816	(8)
Other	216	236	(8)	749	734	2
Total revenue	19,181	18,672	3	56,327	55,871	1
Operating expenses:						
Salaries and employee benefits	6,390	6,141	4	18,920	18,520	2
Purchased transportation	5,196	4,954	5	15,064	14,611	3
Rentals and landing fees	1,002	968	4	2,975	2,906	2
Depreciation and amortization	926	933	(1)	2,779	2,787	—
Fuel	777	1,005	(23)	2,566	3,130	(18)
Maintenance and repairs	672	697	(4)	2,106	2,151	(2)
Business optimization costs	92	45	104	341	149	129
Intercompany allocations	(199)	(167)	19	(591)	(510)	16
Other	3,031	2,923	4	8,868	8,613	3
Total operating expenses	17,887	17,499	2	53,028	52,357	1
Operating income	$ 1,294	$ 1,173	10	$ 3,299	$ 3,514	(6)
Operating margin	6.7%	6.3%	40 bp	5.9%	6.3%	(40) bp

(1) International domestic revenue relates to our international intra-country operations.

	Percent of Revenue			
	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Operating expenses:				
Salaries and employee benefits	33.3 %	32.9 %	33.6 %	33.1 %
Purchased transportation	27.1	26.5	26.7	26.2
Rentals and landing fees	5.2	5.2	5.3	5.2
Depreciation and amortization	4.8	5.0	4.9	5.0
Fuel	4.1	5.4	4.6	5.6
Maintenance and repairs	3.5	3.7	3.7	3.8
Business optimization costs	0.5	0.2	0.6	0.3
Intercompany allocations	(1.0)	(0.9)	(1.0)	(0.9)
Other	15.8	15.7	15.7	15.4
Total operating expenses	93.3	93.7	94.1	93.7
Operating margin	6.7 %	6.3 %	5.9 %	6.3 %

Prior year statistical information has been revised to conform to the current year presentation. The following table compares selected statistics (in thousands, except yield amounts) for the periods ended February 28, 2025 and February 29, 2024:

	Three Months Ended		Percent	Nine Months Ended		Percent
	2025	2024	Change	2025	2024	Change
Package Statistics						
Average daily package volume (ADV)[1]:						
U.S. priority	1,588	1,634	(3)	1,597	1,664	(4)
U.S. deferred	1,162	1,104	5	1,048	1,027	2
U.S. ground commercial	4,181	4,189	—	4,260	4,289	(1)
U.S. ground home delivery/economy	7,887	7,090	11	7,092	6,826	4
Total U.S. domestic ADV	14,818	14,017	6	13,997	13,806	1
International priority	558	663	(16)	592	665	(11)
International economy	583	393	48	552	388	42
Total international export ADV	1,141	1,056	8	1,144	1,053	9
International domestic[2]	1,908	1,883	1	1,930	1,954	(1)
Total ADV	17,867	16,956	5	17,071	16,813	2
Revenue per package (yield):						
U.S. priority	$ 26.44	$ 25.20	5	$ 25.70	24.78	4
U.S. deferred	18.94	18.93	—	18.77	18.91	(1)
U.S. ground	11.82	11.77	—	11.73	11.68	—
U.S. domestic composite	13.95	13.90	—	13.85	13.80	—
International priority	59.65	55.48	8	58.11	55.40	5
International economy	39.92	44.71	(11)	42.03	46.00	(9)
International export composite	49.57	51.47	(4)	50.35	51.94	(3)
International domestic[2]	8.96	9.59	(7)	9.22	9.35	(1)
Composite package yield	15.69	15.76	—	15.77	15.67	1
Freight Statistics						
Average daily freight pounds:						
U.S.	2,201	6,067	(64)	3,440	5,674	(39)
International priority	4,485	4,353	3	4,625	4,405	5
International economy	10,990	11,072	(1)	11,387	11,307	1
Total average daily freight pounds	17,676	21,492	(18)	19,452	21,386	(9)
Revenue per pound (yield):						
U.S.	$ 2.06	$ 1.68	23	$ 1.89	$ 1.66	14
International priority	1.95	1.90	3	1.95	1.95	—
International economy	0.68	0.63	8	0.68	0.64	6
Composite freight yield	1.17	1.18	(1)	1.20	1.18	2

(1) ADV is calculated on a 5-day-per-week basis.

(2) International domestic statistics relate to our international intra-country operations.

Federal Express Segment Revenue

Federal Express segment revenue increased 3% in the third quarter and 1% in the nine months of 2025 primarily due to increased deferred and U.S. ground package volume and improved yields, partially offset by decreases from lower priority package and U.S. freight volume and unfavorable currency exchange rates. Revenue in the nine months of 2025 was also negatively affected by one fewer operating day and reduced demand surcharges.

Yield:

U.S. domestic composite package yield increased slightly in both the third quarter and nine months of 2025 primarily due to higher base rates from our continued focus on revenue quality. U.S. freight yield increased 23% in the third quarter and 14% in the nine months of 2025 primarily due to the expiration of our contract with the USPS on September 29, 2024. International export composite package yield decreased 4% in the third quarter and 3% in the nine months of 2025 primarily due to unfavorable service mix. Package and freight yields were also negatively affected by reduced demand surcharges in the nine months of 2025.

Volume:

International economy package volume increased 48% in the third quarter and 42% in the nine months of 2025 primarily due to continued growth in our deferred service offerings as a result of strengthening e-commerce. U.S. ground home delivery/economy package volume increased 11% in the third quarter and 4% in the nine months of 2025 primarily due to increased demand for our services and, in the third quarter of 2025, the timing of cyber week. International priority package volume decreased 16% in the third quarter and 11% in the nine months of 2025 driven by softness in the global industrial economy. U.S. average daily freight pounds decreased 64% in the third quarter and 39% in the nine months of 2025 primarily due to the expiration of our contract with the USPS on September 29, 2024. U.S. priority package volume decreased 3% in the third quarter and 4% in the nine months of 2025 primarily due to economic softness and lower consumer spending.

Federal Express Segment Operating Income

Federal Express segment operating income increased 10% in the third quarter of 2025 due to higher base yields and volume, partially offset by increased operating expenses. Federal Express segment operating income decreased 6% in the nine months of 2025 due to increased operating expenses and one fewer operating day, partially offset by higher base yields and volume. The increase in operating expenses in the third quarter and nine months of 2025 was driven by increased wage and purchased transportation rates, business optimization costs, and increased employee benefits, partially offset by lower fuel prices and continued benefits from DRIVE initiatives that drove a reduction in our permanent cost structure. These initiatives included the continued transformation of our structural network, improving the efficiency of our information technology and back-office functions, optimizing operations in Europe, and increasing linehaul efficiencies. Currency exchange rates had a negative effect on revenue and a positive effect on expenses and operating income in the third quarter and nine months of 2025.

Purchased transportation expense increased 5% in the third quarter and 3% in the nine months of 2025 primarily due to higher rates as well as an increase in commercial linehaul to support international economy volume growth and network changes, partially offset by savings from our DRIVE initiatives and lower fuel prices. Purchased transportation also increased in the third quarter of 2025 due to higher U.S. ground volume. Salaries and employee benefits expense increased 4% in the third quarter and 2% in the nine months of 2025 primarily due to an increase in wage rates, increased staffing to align with peak demand, and an increase in retirement benefits due to changes to our defined contribution plan which increased the number of eligible employees, partially offset by savings from our DRIVE initiatives. In addition, variable incentive compensation was higher in the third quarter and lower in the nine months of 2025. Other operating expense increased 4% in the third quarter and 3% in the nine months of 2025 primarily due to higher self-insurance accruals. Fuel expense decreased 23% in the third quarter and 18% in the nine months of 2025 due to decreases in fuel prices and usage resulting from lower flight hours.

Federal Express segment results include business optimization costs of $92 million in the third quarter and $341 million in the nine months of 2025. Federal Express segment results include business optimization costs of $45 million in the third quarter and $149 million in the nine months of 2024. See the “Business Optimization Costs” section of this MD&A for more information.

In July 2023, Federal Express’s pilots failed to ratify the tentative successor agreement that was approved by the Air Line Pilots Association, International’s FedEx Master Executive Council in the prior month. The ongoing bargaining process has no effect on our operations. See Note 1 of the accompanying unaudited condensed consolidated financial statements for additional information.

FEDEX FREIGHT SEGMENT

FedEx Freight LTL service offerings include priority services when speed is critical and economy services when time can be traded for savings. The following table compares revenue, operating expenses, operating income (dollars in millions), operating margin, selected statistics, and operating expenses as a percent of revenue for the periods ended February 28, 2025 and February 29, 2024:

	Three Months Ended		Percent Change	Nine Months Ended		Percent Change
	2025	2024		2025	2024	
Revenue	$ 2,089	$ 2,205	(5)	$ 6,595	$ 7,042	(6)
Operating expenses:						
Salaries and employee benefits	939	959	(2)	2,899	2,962	(2)
Purchased transportation	202	218	(7)	602	668	(10)
Rentals	72	70	3	215	209	3
Depreciation and amortization	113	108	5	335	297	13
Fuel	112	134	(16)	344	437	(21)
Maintenance and repairs	85	78	9	255	247	3
Intercompany charges	142	132	8	433	405	7
Other	163	165	(1)	500	503	(1)
Total operating expenses	1,828	1,864	(2)	5,583	5,728	(3)
Operating income	$ 261	$ 341	(23)	$ 1,012	$ 1,314	(23)
Operating margin	12.5%	15.5%	(300) bp	15.3%	18.7%	(340) bp
Average daily shipments (in thousands):						
Priority	58.2	61.5	(5)	61.2	65.4	(6)
Economy	26.9	27.7	(3)	28.2	28.9	(2)
Total average daily shipments	85.1	89.2	(5)	89.4	94.3	(5)
Weight per shipment (lbs):						
Priority	935	974	(4)	943	979	(4)
Economy	877	885	(1)	870	880	(1)
Composite weight per shipment	917	946	(3)	920	949	(3)
Revenue per shipment:						
Priority	$ 360.68	$ 363.21	(1)	$ 359.19	$ 360.47	—
Economy	408.56	414.79	(2)	405.72	412.84	(2)
Composite revenue per shipment	$ 375.81	$ 379.26	(1)	$ 373.85	$ 376.53	(1)
Revenue per hundredweight:						
Priority	$ 38.57	$ 37.31	3	$ 38.11	$ 36.80	4
Economy	46.59	46.89	(1)	46.66	46.92	(1)
Composite revenue per hundredweight	$ 41.00	$ 40.10	2	$ 40.66	$ 39.68	2

	Percent of Revenue			
	Three Months Ended		Nine Months Ended	
	2025	2024	2025	2024
Operating expenses:				
Salaries and employee benefits	44.9 %	43.5 %	43.9 %	42.1 %
Purchased transportation	9.7	9.9	9.1	9.5
Rentals	3.4	3.1	3.3	3.0
Depreciation and amortization	5.4	4.9	5.1	4.2
Fuel	5.4	6.1	5.2	6.2
Maintenance and repairs	4.1	3.5	3.9	3.5
Intercompany charges	6.8	6.0	6.6	5.7
Other	7.8	7.5	7.6	7.1
Total operating expenses	87.5	84.5	84.7	81.3
Operating margin	12.5 %	15.5 %	15.3 %	18.7 %

FedEx Freight Segment Revenue

FedEx Freight segment revenue decreased 5% in the third quarter and 6% in the nine months of 2025 primarily due to lower shipments and yields. Revenue was also negatively affected by one fewer operating day in the nine months of 2025.

Average daily shipments decreased 5% in both the third quarter and nine months of 2025 due to reduced demand for our services, primarily resulting from macroeconomic conditions. Revenue per shipment decreased 1% in both the third quarter and nine months of 2025 primarily due to lower fuel surcharges and weight per shipment, partially offset by base yield improvement resulting from our continued focus on revenue quality.

FedEx Freight Segment Operating Income

FedEx Freight segment operating income decreased 23% in both the third quarter and nine months of 2025 primarily due to lower revenue, partially offset by reduced operating expenses. Operating income was also negatively affected by one fewer operating day in the nine months of 2025.

Combined fuel and purchased transportation expense decreased 11% in the third quarter and 14% in the nine months of 2025 due to decreased shipments and lower fuel prices. Salaries and employee benefits expense decreased 2% in both the third quarter and nine months of 2025 primarily due to reduced staffing to align with lower volumes, partially offset by higher wage rates. Depreciation expense increased 13% in the nine months of 2025 primarily due to a gain on the sale of facilities in the second quarter of 2024 and investments in information technology and transportation equipment.

FINANCIAL CONDITION

LIQUIDITY

Cash and cash equivalents totaled $5.1 billion at February 28, 2025, compared to $6.5 billion at May 31, 2024. The following table provides a summary of our cash flows for the nine-month periods ended February 28, 2025 and February 29, 2024 (in millions):

	2025	2024
Operating activities:		
Net income	$ 2,444	$ 2,857
Business optimization costs, net of payments	114	(50)
Other noncash charges and credits	6,058	5,777
Changes in assets and liabilities	(4,099)	(2,970)
Cash provided by operating activities	4,517	5,614
Investing activities:		
Capital expenditures	(2,582)	(3,974)
Purchase of investments	(197)	(110)
Proceeds from sale of investments	77	24
Proceeds from asset dispositions and other	42	94
Cash used in investing activities	(2,660)	(3,966)
Financing activities:		
Principal payments on debt	(89)	(143)
Proceeds from stock issuances	472	265
Dividends paid	(1,008)	(949)
Purchases of common stock	(2,517)	(2,000)
Other	(30)	(7)
Cash used in financing activities	(3,172)	(2,834)
Effect of exchange rate changes on cash	(51)	(26)
Net decrease in cash and cash equivalents	$ (1,366)	$ (1,212)
Cash and cash equivalents at the end of period	$ 5,135	$ 5,644

Cash Provided by Operating Activities. Cash flows from operating activities decreased $1.1 billion in the nine months of 2025 primarily due to working capital changes driven by a decrease in accrued incentive compensation and other liabilities and an increase in accounts receivable, partially offset by an increase in accounts payable from the nine months of 2024.

Cash Used in Investing Activities. Capital expenditures decreased during the nine months of 2025 primarily due to decreased spending on aircraft and related equipment, facilities and other, and vehicles and trailers. See “Capital Resources” for a discussion of capital expenditures during 2025.

Financing Activities. We repurchased an aggregate of $497 million of our common stock through open market transactions during the third quarter of 2025. During the nine months of 2025, we repurchased 8.9 million shares of FedEx common stock through ASR and open market transactions at an average price of $281.74 per share for a total of $2.5 billion. See Note 1 of the accompanying

unaudited condensed consolidated financial statements, “Liquidity Outlook” below, and Part II, Item 2. “Unregistered Sales of Equity Securities and Use of Proceeds” for additional information.

CAPITAL RESOURCES

Our operations are capital intensive, characterized by significant investments in aircraft, package handling and sort equipment, technology, vehicles and trailers, and facilities. The amount and timing of capital investments depend on various factors, including pre-existing contractual commitments, anticipated volume growth, domestic and international economic conditions, new or enhanced services, geographical expansion of services, availability of satisfactory financing, and actions of regulatory authorities.

The following table compares capital expenditures by asset category and reportable segment for the periods ended February 28, 2025 and February 29, 2024 (in millions):

	Three Months Ended		Nine Months Ended		Percent Change	
	2025	2024	2025	2024	Three Months Ended	Nine Months Ended
Aircraft and related equipment	$ 367	$ 329	$ 630	$ 1,484	12	(58)
Package handling and ground support equipment	208	217	618	644	(4)	(4)
Information technology	107	142	366	437	(25)	(16)
Vehicles and trailers	99	243	373	539	(59)	(31)
Facilities and other	216	448	595	870	(52)	(32)
Total capital expenditures	$ 997	$ 1,379	$ 2,582	$ 3,974	(28)	(35)
Federal Express segment	$ 844	$ 1,217	$ 2,145	$ 3,623	(31)	(41)
FedEx Freight segment	129	139	359	280	(7)	28
Other	24	23	78	71	4	10
Total capital expenditures	$ 997	$ 1,379	$ 2,582	$ 3,974	(28)	(35)

Capital expenditures decreased in the third quarter primarily due to decreased spending on facilities and other and vehicles and trailers at Federal Express. Capital expenditures decreased in the nine months of 2025 primarily due to decreased spending on aircraft and related equipment, facilities and other, and vehicles and trailers at Federal Express.

GUARANTOR FINANCIAL INFORMATION

We are providing the following information in compliance with Rule 13-01 of Regulation S-X, “Financial Disclosures about Guarantors and Issuers of Guaranteed Securities” with respect to our senior unsecured debt securities and Pass-Through Certificates, Series 2020-1AA (the “Certificates”).

The $19.1 billion principal amount of the senior unsecured notes were issued by FedEx under a shelf registration statement and are guaranteed by certain direct and indirect subsidiaries of FedEx (“Guarantor Subsidiaries”). FedEx owns, directly or indirectly, 100% of each Guarantor Subsidiary. The guarantees are (1) unsecured obligations of the respective Guarantor Subsidiary, (2) rank equally with all of their other unsecured and unsubordinated indebtedness, and (3) are full and unconditional and joint and several. If we sell, transfer, or otherwise dispose of all of the capital stock or all or substantially all of the assets of a Guarantor Subsidiary to any person that is not an affiliate of FedEx, the guarantee of that Guarantor Subsidiary will terminate, and holders of debt securities will no longer have a direct claim against such subsidiary under the guarantee. See Note 4 of the accompanying unaudited condensed consolidated financial statements for information regarding the exchange offer and consent solicitation transactions related to the guarantee of FedEx Freight that were completed during the third quarter of 2025.

Additionally, FedEx fully and unconditionally guarantees the payment obligation of Federal Express in respect of the $737 million principal amount of the Certificates. See Note 4 of the accompanying unaudited condensed consolidated financial statements and Note 6 to the financial statements included in our Annual Report for additional information regarding the terms of the Certificates.

The following tables present summarized financial information for FedEx (as Parent) and the Guarantor Subsidiaries on a combined basis after transactions and balances within the combined entities have been eliminated.

Parent and Guarantor Subsidiaries

The following table presents the summarized balance sheet information as of February 28, 2025 and May 31, 2024 (in millions):

	February 28, 2025	May 31, 2024
Current Assets	$ 9,420	$ 10,618
Intercompany Receivable	3,953	4,625
Total Assets	81,915	83,880
Current Liabilities	10,112	9,658
Intercompany Payable	—	—
Total Liabilities	51,550	52,551

The following table presents the summarized statement of income information for the nine-month period ended February 28, 2025 (in millions):

Revenue	$ 48,582
Intercompany Charges, net	(2,878)
Operating Income	3,035
Intercompany Charges, net	177
Income Before Income Taxes	2,387
Net Income	$ 1,675

The following tables present summarized financial information for FedEx (as Parent Guarantor) and Federal Express (as Subsidiary Issuer) on a combined basis after transactions and balances within the combined entities have been eliminated.

Parent Guarantor and Subsidiary Issuer

The following table presents the summarized balance sheet information as of February 28, 2025 and May 31, 2024 (in millions):

	February 28, 2025	May 31, 2024
Current Assets	$ 9,383	$ 4,473
Intercompany Receivable	772	7,399
Total Assets	70,884	62,900
Current Liabilities	9,272	5,958
Intercompany Payable	—	—
Total Liabilities	48,426	38,962

The following table presents the summarized statement of income information for the nine-month period ended February 28, 2025 (in millions):

Revenue	$ 41,760
Intercompany Charges, net	(3,487)
Operating Income	2,238
Intercompany Charges, net	(21)
Income Before Income Taxes	2,396
Net Income	$ 1,835

LIQUIDITY OUTLOOK

In response to current business and economic conditions as referenced above in the "Outlook" section of this MD&A, we are continuing to actively manage and optimize our capital allocation in response to the slowdown in the economy, inflationary pressures, changing fuel prices, geopolitical conflicts, and uncertainty regarding international trade. We held $5.1 billion in cash and cash equivalents at February 28, 2025 and had $3.5 billion in available liquidity under our $1.75 billion three-year credit agreement (the "Three-Year Credit Agreement") and $1.75 billion five-year credit agreement (the "Five-Year Credit Agreement" and together with the Three-Year Credit Agreement, the "Credit Agreements"), and we believe that our cash and cash equivalents, cash from operations, and available financing sources will be adequate to meet our liquidity needs, which include operational requirements, expected capital expenditures, voluntary pension contributions, dividend payments, and stock repurchases. In the third quarter of 2025, we began incurring costs and expenses related to the planned spin-off of FedEx Freight, which are expected to be significant but will not materially adversely affect our liquidity.

We repurchased an aggregate of $497 million of our common stock in the third quarter of 2025 through open market transactions. For the nine months of 2025, we completed $2.5 billion in share repurchases through ASR and open market transactions. See Note 1 of the accompanying unaudited condensed consolidated financial statements and "Item 2. Unregistered Sales of Equity Securities and Use of Proceeds" for more information. Depending on market conditions, our liquidity needs, and other factors, we may consider repurchasing additional shares of our common stock during the fourth quarter of 2025.

Our cash and cash equivalents balance at February 28, 2025 includes $2.7 billion of cash in foreign jurisdictions associated with our permanent reinvestment strategy. We are able to access the majority of this cash without a material tax cost and do not believe that the indefinite reinvestment of these funds impairs our ability to meet our U.S. domestic debt or working capital obligations.

Our capital expenditures for 2025 are expected to be approximately $4.9 billion, $0.3 billion lower than 2024, as we continue to reduce our capital intensity relative to revenue. Aircraft spend is expected to decline, partially offset by increased investments in network optimization and modernization of our facilities.

There have been no material changes to the contractual commitments described in Part II, Item 7 in our Annual Report. We do not have any guarantees or other off-balance sheet financing arrangements, including variable interest entities, which we believe could have a material effect on our financial condition or liquidity.

We have several aircraft modernization programs under way that are supported by the purchase of Boeing 777 Freighter and Boeing 767-300 Freighter aircraft. These aircraft are significantly more fuel-efficient per unit than the aircraft types previously utilized, and these expenditures are necessary to achieve significant long-term operating savings and to replace older aircraft. Our ability to delay the timing of these aircraft-related expenditures is limited without incurring significant costs to modify existing purchase agreements. In March 2025, Federal Express exercised options to purchase an additional eight B777F aircraft, three of which are expected to be delivered in calendar year 2026 and five of which are expected to be delivered in calendar year 2027. Additionally, we have extended the retirement of the entire Boeing MD-11 fleet from 2028 to the end of 2032.

The Three-Year Credit Agreement and the Five-Year Credit Agreement expire in March 2027 and March 2029, respectively. Each of the Credit Agreements has a $125 million letter of credit sublimit. The Credit Agreements are available to finance our operations and other cash flow needs. See Note 4 of the accompanying unaudited condensed consolidated financial statements for more information.

We have a shelf registration statement filed with the Securities and Exchange Commission ("SEC") that allows us to sell, in one or more future offerings, any combination of our unsecured debt securities and common stock and allows pass-through trusts formed by Federal Express to sell, in one or more future offerings, pass-through certificates.

During the nine months of 2025, we made voluntary contributions of $800 million to our tax-qualified U.S. domestic pension plan ("U.S. Pension Plan"). There are currently no required minimum contributions to our U.S. Pension Plan, and we maintain a credit balance related to our cumulative excess voluntary pension contributions over those required that exceeds $3.0 billion. The credit balance is subtracted from plan assets to determine the minimum funding requirements. Therefore, we have the flexibility to eliminate all required contributions to our U.S. Pension Plan for several years. Our U.S. Pension Plan has ample funds to meet expected benefit payments.

On February 14, 2025, our Board of Directors declared a quarterly cash dividend of $1.38 per share of common stock. The dividend will be paid on April 1, 2025 to stockholders of record as of the close of business on March 10, 2025. Each quarterly dividend payment is subject to review and approval by our Board of Directors, and we evaluate our dividend payment amount on an annual basis.

Standard & Poor's has assigned us a senior unsecured debt credit rating of BBB, a Certificates rating of AA-, a commercial paper rating of A-2, and a ratings outlook of "stable." Moody's Investors Service has assigned us an unsecured debt credit rating of Baa2, a

Certificates rating of Aa3, a commercial paper rating of P-2, and a ratings outlook of "stable." Our interest expense may increase in the event of a reduction in our credit rating. If our unsecured debt or commercial paper ratings are reduced to below investment grade, our access to the capital markets may become limited.

CRITICAL ACCOUNTING ESTIMATES

The preparation of financial statements in accordance with accounting principles generally accepted in the United States requires management to make significant judgments and estimates to develop amounts reflected and disclosed in the financial statements. In many cases, there are alternative policies or estimation techniques that could be used. We maintain a thorough process to review the application of our accounting policies and to evaluate the appropriateness of the many estimates that are required to prepare the financial statements of a complex, global corporation. However, even under optimal circumstances, estimates routinely require adjustment based on changing circumstances and new or better information.

GOODWILL. Goodwill is tested for impairment between annual tests whenever events or circumstances make it more likely than not that the fair value of a reporting unit has fallen below its carrying value. In connection with our one FedEx consolidation plan, we reevaluated the conclusion of our 2024 goodwill impairment tests as of June 1, 2024, and concluded that the estimated fair values of our reporting units with significant goodwill continued to exceed their carrying values. We do not believe there has been any additional change of events or circumstances that would indicate that additional reevaluation of the goodwill of our reporting units is required as of February 28, 2025, nor do we believe the goodwill of our reporting units is at risk of failing impairment testing. For additional details on goodwill impairment testing, refer to Note 1 to the financial statements included in our Annual Report.

Information regarding our critical accounting estimates can be found in our Annual Report, including Note 1 to the financial statements therein. Management has discussed the development and selection of these critical accounting estimates with the Audit and Finance Committee of our Board of Directors and with our independent registered public accounting firm.

OTHER MATTERS

In March 2025, FedEx submitted a claim to the USPS in accordance with the dispute provisions of the parties' contract, seeking recovery of losses arising between October 1, 2020 and September 30, 2023 from the USPS's diversion of mail to other carriers in breach of the contract between Federal Express and the USPS executed in April 2013.

FORWARD-LOOKING STATEMENTS

Certain statements in this report, including (but not limited to) those contained in "General," "Trends Affecting Our Business," "Business Optimization Costs," "Income Taxes," "Outlook," "Liquidity Outlook," "Legal Proceedings," and "Risk Factors" and the "Description of Business Segments and Summary of Significant Accounting Policies," "Financing Arrangements," "Retirement Plans," "Commitments," and "Contingencies" notes to our unaudited condensed consolidated financial statements, are "forward-looking" statements within the meaning of the Private Securities Litigation Reform Act of 1995 (the "PSLRA") with respect to our financial condition, results of operations, cash flows, plans, objectives, future performance, and business and the assumptions underlying such statements. Forward-looking statements include those preceded by, followed by, or that include the words "will," "may," "could," "would," "should," "believes," "expects," "anticipates," "plans," "estimates," "targets," "forecasts," "projects," "intends," or similar expressions. These forward-looking statements, which are intended to enjoy the protection of the safe harbor for forward-looking statements provided by the PSLRA as well as protections afforded by other federal securities laws, involve risks and uncertainties. Actual results may differ materially from those contemplated (expressed or implied) by such forward-looking statements because of, among other things, potential risks and uncertainties, such as:

- economic conditions in the global markets in which we operate;
- significant changes in the volumes of shipments transported through our networks, customer demand for our various services, or the prices we obtain for our services;
- geopolitical developments and additional changes in and/or uncertainty regarding international trade policies and relations;
- the price and availability of jet and vehicle fuel;
- failure to successfully implement our business strategy and effectively respond to changes in market dynamics and customer preferences;
- our ability to execute our DRIVE transformation, including Network 2.0 and the redesign of the Federal Express international air network, in the expected time frame and at the expected cost and achieve the expected operational efficiencies and network flexibility, alignment of our cost base with demand, cost savings and reductions to our permanent cost structure, and other benefits while managing the potential risks;

- our ability to successfully implement the planned tax-free spin-off of the FedEx Freight business into a new publicly traded company and achieve the anticipated benefits of such transaction;
- the timing and amount of any costs or benefits or any specific outcome, transaction, or change (of which there can be no assurance), or the terms, timing, and structure thereof, related to our global transformation program and other ongoing reviews and initiatives;
- our ability to successfully implement our workforce reduction in Europe;
- a significant data breach or other disruption to our technology infrastructure, and our ability to mitigate the technological, operational, legal and regulatory, and reputational risks related to emerging technologies such as autonomous technology and artificial intelligence;
- failure to remove costs related to services provided to the USPS under the contract for Federal Express to provide the USPS domestic transportation services, which expired on September 29, 2024;
- the future rate of e-commerce growth and our ability to successfully expand our e-commerce services portfolio;
- increased insurance and claims expenses related to vehicle accidents, workers' compensation claims, property and cargo loss, general business liabilities, and benefits paid under employee disability programs;
- failure to receive or collect expected insurance coverage;
- the effect of any international conflicts or terrorist activities on the United States and global economies in general, the transportation industry, or FedEx in particular;
- failure of third-party service providers to perform as expected, or disruptions in our relationships with those providers or their provision of services to FedEx;
- widespread outbreak of an illness or any other communicable disease or public health crisis;
- damage to our reputation or loss of brand equity;
- the effect of intense competition on our ability to maintain or increase our prices (including our fuel surcharges) or to maintain or grow our revenue and market share;
- our ability to manage our network capacity and cost structure for capital expenditures and operating expenses, and match it to shifting and future customer volume levels;
- our ability to execute and effectively operate, integrate, leverage, and grow acquired businesses, and to continue to support the value we allocate to these acquired businesses;
- noncash impairment charges related to our goodwill and certain deferred tax assets;
- failure to attract and retain employee talent and our ability to meet our labor and purchased transportation needs while controlling related costs and maintain our company culture;
- our ability to maintain good relationships with our employees and avoid attempts by labor organizations to organize groups of our employees, which could significantly increase our operating costs and reduce our operational flexibility, as well as the outcome of negotiations to reach new collective bargaining agreements (including with the pilots of Federal Express);
- the effect of costs related to lawsuits in which it is alleged that Federal Express should be treated as an employer or joint employer of drivers employed by service providers engaged by Federal Express;
- increasing costs, the volatility of costs and funding requirements, and other legal mandates for employee benefits, especially pension and healthcare benefits;
- the effects of global climate change;
- our ability to achieve or demonstrate progress on our goal of carbon neutrality for our global operations by calendar 2040;
- our ability to quickly and effectively restore operations following adverse weather or a localized disaster or disturbance in a key geography;
- any effects on our businesses resulting from evolving or new U.S. domestic or international government regulations, laws, policies, and actions, which could be unfavorable to our business, including labor (such as joint employment standards or changes to the Railway Labor Act of 1926, as amended, affecting Federal Express employees); regulatory or other actions affecting data protection; global aviation or other transportation rights; increased air cargo, pilot flight and duty time, and

other security or safety requirements; import and export controls; the use of new technology and accounting; trade (such as protectionist measures, tariffs, or restrictions on free trade); foreign exchange intervention in response to currency volatility; environmental (such as global climate change legislation); or postal rules;

- adverse changes in tax laws, regulations, and interpretations or challenges to our tax positions;
- increasing costs related to changing and heightened regulations and enforcement related to data protection;
- the increasing costs of compliance with federal, state, and foreign governmental agency mandates (including the Foreign Corrupt Practices Act and the U.K. Bribery Act) and defending against inappropriate or unjustified enforcement or other actions by such agencies;
- changes in foreign currency exchange rates, especially in the euro, Chinese yuan, British pound, Canadian dollar, Australian dollar, Mexican peso, Hong Kong dollar, and Japanese yen, which can affect our sales levels and foreign currency sales prices;
- loss or delay in the collection of accounts receivable;
- any liability resulting from and the costs of defending against class-action, derivative, and other litigation, such as wage-and-hour, joint employment, securities, vehicle accident, and discrimination and retaliation claims, claims related to our reporting and disclosure of environmental and sustainability topics, and any other legal or governmental proceedings, including the matters discussed in Note 10 of the accompanying unaudited condensed consolidated financial statements;
- adverse rulings on appeals and in other future judicial decisions, subsequent adverse jury findings, and changes in judicial precedent;
- the sufficiency of insurance coverage we purchase;
- the effect of technology developments (including artificial intelligence and machine learning) on our operations and on demand for our services, and our ability to continue to identify and eliminate unnecessary information-technology redundancy and complexity throughout the organization;
- disruptions in global supply chains, which can limit the access of FedEx and our service providers to vehicles and other key capital resources and increase our costs;
- difficulties experienced by the companies with which we contract to fly smaller regional “feeder” aircraft in attracting and retaining pilots, which could cause a reduction of service offered to certain locations, service disruptions, increased costs of operations, and other difficulties;
- governmental underinvestment in transportation infrastructure, which could increase our costs and adversely affect our service levels due to traffic congestion, prolonged closure of key thoroughfares, or sub-optimal routing of our vehicles and aircraft;
- constraints, volatility, or disruption in the capital markets, our ability to maintain our current credit ratings, commercial paper ratings, and senior unsecured debt and pass-through certificate credit ratings, and our ability to meet credit agreement financial covenants; and
- other risks and uncertainties you can find in our press releases and SEC filings, including the risk factors identified under Part I, Item IA. “Risk Factors” in our Annual Report, as updated by our quarterly reports on Form 10-Q and current reports on Form 8-K.

As a result of these and other factors, no assurance can be given as to our future results and achievements. Accordingly, a forward-looking statement is neither a prediction nor a guarantee of future events or circumstances and those future events or circumstances may not occur. You should not place undue reliance on the forward-looking statements, which speak only as of the date of this report. We are under no obligation, and we expressly disclaim any obligation, to update or alter any forward-looking statements, whether as a result of new information, future events, or otherwise.

ITEM 3. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

As of February 28, 2025, there were no material changes in our market risk sensitive instruments and positions since our disclosures in our Annual Report.

The principal foreign currency exchange rate risks to which we are exposed relate to the euro, Chinese yuan, British pound, Canadian dollar, Australian dollar, Mexican peso, Hong Kong dollar, and Japanese yen. Historically, our exposure to foreign currency fluctuations is more significant with respect to our revenue than our expenses, as a significant portion of our expenses are

denominated in U.S. dollars, such as aircraft and fuel expenses. During the nine months of 2025, the U.S. dollar was weaker relative to the currencies of the foreign countries in which we operate, and the weaker dollar had a positive effect on our results.

While we have market risk for changes in the price of vehicle and jet fuel, this risk is largely mitigated by our indexed fuel surcharges. For additional discussion of our indexed fuel surcharges, see the "Results of Operations and Outlook — Consolidated Results —Fuel" section of "Item 7. Management's Discussion and Analysis of Results of Operations and Financial Condition" included in our Annual Report.

ITEM 4. CONTROLS AND PROCEDURES

The management of FedEx, with the participation of our principal executive and financial officers, has evaluated the effectiveness of our disclosure controls and procedures in ensuring that the information required to be disclosed in our filings under the Securities Exchange Act of 1934, as amended, is recorded, processed, summarized, and reported within the time periods specified in the SEC's rules and forms, including ensuring that such information is accumulated and communicated to FedEx management as appropriate to allow timely decisions regarding required disclosure. Based on such evaluation, our principal executive and financial officers have concluded that such disclosure controls and procedures were effective as of February 28, 2025 (the end of the period covered by this Quarterly Report on Form 10-Q).

During our fiscal quarter ended February 28, 2025, no change occurred in our internal control over financial reporting that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.

PART II. OTHER INFORMATION

ITEM 1. LEGAL PROCEEDINGS

For a description of all material pending legal proceedings, see Note 10 of the accompanying unaudited condensed consolidated financial statements, which is incorporated by reference herein. In connection with the one FedEx consolidation, effective June 1, 2024, Federal Express assumed liability for all pending litigation to which FedEx Ground and FedEx Services were previously party.

ITEM 1A. RISK FACTORS

Other than the risk factors set forth below, there have been no material changes from the risk factors disclosed in our Annual Report in response to Part I, Item 1A of Form 10-K. Additional risks not currently known to us or that we currently deem to be immaterial also may materially affect our business, results of operations, financial condition, and the price of our common stock.

The planned spin-off of FedEx Freight may not be completed on the terms or timeline currently contemplated, if at all, and there is no guarantee that the spin-off, if completed, will achieve the intended financial and strategic benefits. In December 2024, we announced our intention to separate FedEx Freight from our portfolio structure through the creation of a separate publicly traded company ("NewCo"). The planned separation, which would be implemented through the spin-off of shares of NewCo to FedEx stockholders, is expected to be tax-free for U.S. federal income tax purposes for FedEx stockholders and be completed by June 2026. Completion of the planned spin-off is subject to the final approval of our Board of Directors and will be dependent on a number of factors that may be beyond our control, including, among other things, market conditions, industry trends, the receipt and continuing validity of a private letter ruling from the Internal Revenue Service ("IRS") and/or favorable opinions of our U.S. tax advisors with respect to the tax-free nature of the transaction, the receipt of other regulatory and contractual approvals, and the availability of financing for NewCo on satisfactory terms. The proposed spin-off is complex in nature, and unanticipated changes or developments could delay or prevent the completion of the spin-off or cause the spin-off to occur on terms or conditions that are different or less favorable than expected.

Whether or not we complete the spin-off, we may face significant challenges in connection with the transaction, including, without limitation:

- the diversion of the attention of our Board of Directors and senior management from the pursuit of our business strategy and long-term planning and of our management and employees from day-to-day operations;
- our ability to maintain NewCo's continued support of our DRIVE transformation, Network 2.0, the redesign of the Federal Express international air network, and other strategic initiatives;
- our ability to maintain operational, commercial, data and information technology, brand and intellectual property, human resources, finance, legal, sales, and marketing continuity where necessary between FedEx and NewCo and establish stand-alone functions and infrastructure at NewCo where necessary;

- the risk that if the IRS determines that certain steps of the planned spin-off do not qualify for tax-free treatment for U.S. federal income tax purposes, FedEx and its stockholders could incur significant tax liabilities;
- costs and expenses related to the planned spin-off (which are expected to be significant), including costs related to commercial and operational dis-synergies; restructuring and other transaction expenses; expenses related to establishing stand-alone operational, commercial, personnel, and digital and technology infrastructure at NewCo; and accounting, tax, legal, and other professional services expenses, any of which may be higher than initially expected;
- retaining existing business and operational relationships, including with customers, suppliers, employees, and other counterparties;
- addressing employee issues so as to promote retention and motivation and maintain efficient and effective labor and employee relations;
- obtaining any required regulatory licenses, operating authority, or contractual consents;
- determining the appropriate allocations of assets and liabilities between FedEx and NewCo, as well as the terms governing the relationship between FedEx and NewCo following the spin-off; and
- potential negative reactions from investors and other external stakeholders.

There can be no assurance that the spin-off, if completed, will achieve the intended financial and strategic benefits (which are based on a number of assumptions, some or all of which may prove to be incorrect) or provide greater value to our stockholders than that reflected in the current price of our common stock, or that the dis-synergies of the transaction (including costs of related restructuring transactions) will not exceed the anticipated amounts. The market price of our common stock could be subject to significant fluctuation or otherwise be adversely affected by the uncertainties described above. Changes in the stockholder base of FedEx and/or NewCo following the planned spin-off could also cause the price of either company's common stock to fluctuate.

If the planned spin-off occurs, FedEx and NewCo will each be smaller, less diversified companies with more concentrated areas of focus. As a result, FedEx and NewCo may become more vulnerable to changing macroeconomic and market conditions; the results of operations, cash flows, effective tax rate, and other financial and operating metrics of each company may be subject to increased volatility; and the ability of each company to fund capital expenditures and investments, pay dividends, and service debt may be diminished.

To the extent challenges related to the planned spin-off of NewCo adversely affect our business, they may also have the effect of heightening other risks disclosed in our Annual Report, any of which could materially and adversely affect our business, results of operations, and the price of our common stock. Such risks include, but are not limited to, our ability to execute our DRIVE transformation, Network 2.0, and broader business strategy and effectively respond to changes in market dynamics and customer preferences; disruptions to our technology infrastructure, including through cyberattack or cyber-intrusion, ransomware attack, or malware attack; our ability to achieve or demonstrate progress on our goal of carbon neutrality for our global operations by calendar 2040; and our ability to maintain our strong reputation and the value of the FedEx brand.

A significant data breach or other disruption to our technology infrastructure could disrupt our operations and result in the loss of critical sensitive or confidential information, adversely affecting our reputation, business, or results of operations. Our ability to attract and retain customers, efficiently operate our businesses, execute our DRIVE transformation, and compete effectively increasingly depend in part upon the sophistication, security, and reliability of our technology network, including our ability to provide features of service that are important to our customers, to protect our confidential business information and the information provided by our customers, and to maintain customer confidence in our ability to protect our systems and to provide services consistent with their expectations. For example, we rely on information technology to receive shipment information in advance of physical receipt of packages, to track items that move through our delivery systems, to efficiently plan deliveries, to clear shipments through customs, to execute billing processes, and to track and report financial and operational data. We are subject to risks imposed by data breaches and operational disruptions, both random and targeted, including through cyberattack or cyber-intrusion, ransomware attack, malware attack, or denial of service attack by computer hackers, foreign governments and state-sponsored actors, cyber terrorists and hacktivists, cyber criminals, malicious employees or other insiders of FedEx or third-party service providers, and other groups and individuals. Data breaches and other technology disruptions of companies and governments continue to increase as the number, intensity, and sophistication of attempted attacks and intrusions from around the world have increased and we, our customers, and third parties increasingly store and transmit data by means of connected information technology systems. Additionally, risks such as code anomalies, "Acts of God," transitional challenges in migrating operating company functionality to our FedEx enterprise automation platforms, data leakage, cyber-fraud, and human error pose a direct threat to our products, services, systems, and data and could result in unauthorized or block legitimate access to sensitive or confidential data regarding our operations, customers, employees, and suppliers, including personal information.

The technology infrastructure of acquired businesses, as well as their practices related to the use and maintenance of data, could also present issues that we were not able to identify prior to the acquisition. For example, ShopRunner, which we acquired in 2021, collects and stores certain personal data of its merchants and their buyers, its partners, consumers with whom it has a direct relationship, and users of its applications. Additionally, it uses third-party service providers and subprocessors to help deliver services to merchants and their buyers. These service providers and subprocessors may store or access personal data and/or other confidential information. The foregoing factors increase the risk of data incidents and the amount of potential exposure in the event of a data breach.

We also depend on and interact with the technology and systems of third parties, including our customers and third-party service providers such as cloud service providers and delivery services. Certain third parties host, process, or have access to information we maintain about our company, customers, employees, and vendors and/or operate systems that are critical to our business operations and services. Like us, these third parties are subject to risks imposed by data breaches, cyberattacks, and other events or actions that could damage, disrupt, or close down their networks or systems. We have security processes, protocols, and standards in place, including contractual provisions requiring such security measures, that are applicable to such third parties and are designed to protect information that is held by them, or to which they have access, as a result of their engagements with us. A cyberattack has and may in the future defeat one or more of such third parties' security measures, allowing an attacker to obtain information about our company, customers, employees, and vendors or disrupt our operations. Certain third parties also have and may in the future experience operational disruptions or human error that could result in unauthorized access to sensitive or confidential data regarding our operations, customers, employees, and suppliers, including personal information. See "Failure of third-party service providers to perform as expected, or disruptions in our relationships with those providers or their provision of services to FedEx, could have a material adverse effect on our business and results of operations" under "Item 1A. Risk Factors" of our Annual Report for more information. The information systems of one of our third-party service providers recently experienced a security breach that resulted in unauthorized access to the third-party's cloud environment, including certain systems that contained our data. To date this incident has not had a material adverse effect on our business or results of operations. However, there can be no assurance that this incident or similar events will not have such an effect in the future.

From time to time we experience disruptions to our complex, global technology infrastructure, including our computer systems and websites. Such events could result in the loss of confidential business or customer information; require substantial repairs or replacements, resulting in significant costs; and lead to the temporary or permanent transfer by customers of some or all of their business to our competitors. The foregoing could harm our reputation and adversely affect our business, customer service, and results of operations. Additionally, a security breach could require us to devote significant management resources to address the problems created. These types of adverse effects could also occur in the event the confidentiality, integrity, or availability of company and customer information was compromised due to a data loss by FedEx or a trusted third party.

We or the third parties with which we share information may not discover any security breach and loss of information for a significant period of time after the security breach occurs. Even if we detect a cybersecurity incident, the nature and extent of the incident may not be immediately clear. It may also not be clear how best to contain and remediate any harm caused by the cybersecurity incident, and certain errors or actions could be repeated or compounded before they are discovered and remediated. Based on the sophistication of threat actors and the size and complexity of our information systems and network environment, among other factors, an investigation into a cybersecurity incident could take a significant amount of time to complete. In addition, while the investigation of a cybersecurity incident is ongoing, we may not know the full extent of the harm caused by a threat actor, and such harm may spread both internally and to certain customers, vendors, or other third parties. Additionally, our logging capabilities and the logging capabilities of third parties are not always complete or sufficiently detailed, which could affect our ability to fully investigate and understand the scope of security events. Given the age, size, and complexity of our computer systems and network environment, patches for certain vulnerabilities may not exist and, even where patches or other risk-mitigating activities are available, the development of patches or execution of risk-mitigating actions may not occur before an underlying vulnerability is exploited or results in the compromise of our information systems or data. A significant number of our employees as well as customers and others with whom we do business continue to work remotely or in hybrid models, which may heighten these risks. These risks may also be heightened by our DRIVE transformation, including Network 2.0 and our recently completed one FedEx consolidation.

Furthermore, we are subject to an increasing number of cybersecurity compliance and reporting obligations in different jurisdictions that vary in their scope and application, creating conflicting reporting requirements. These factors and the time spent to comply may inhibit our ability to quickly provide complete and reliable information about the cybersecurity incident to customers, counterparties, and regulators, as well as the public. Any or all of these factors could further increase the costs and consequences of a cybersecurity incident on our business and results of operations. See "Our business is subject to complex and evolving U.S. and foreign laws and regulations regarding data protection." under "Item 1A. Risk Factors" of our Annual Report for additional information on risks related to legal and regulatory developments with respect to data protection.

We have invested and continue to invest in technology security initiatives, information-technology risk management, business continuity, and disaster recovery plans, including investments to retire and replace end-of-life systems. The development and maintenance of these measures is costly and requires ongoing monitoring and updating as technologies change and efforts to

overcome security measures become increasingly more frequent, intense, and sophisticated. Despite our efforts, we are not fully insulated from data breaches, technology disruptions, data loss, and cyber-fraud, which could adversely affect our competitiveness and results of operations. See "Item 1A. Risk Factors" of our Annual Report on Form 10-K for the year ended May 31, 2021 for information regarding the 2017 NotPetya cyberattack at TNT Express and immaterial cyber incidents we experienced in 2017 and 2018. Additionally, we and our third-party service providers, vendors, and suppliers have experienced repeated attempts by cyber criminals, some of which have been successful, to gain access to customer accounts for the purposes of fraudulently diverting and misappropriating items being transported in our network, fraudulently charging shipment fees to customer or franchisee accounts, and fraudulently sending e-mails to recipients purporting to be from FedEx. To date, none of these fraudulent cyber activities have caused a material disruption to our systems or resulted in any material costs to FedEx.

Our security processes and initiatives may be unable to detect or prevent a breach or disruption in the future. Additionally, the rapid ongoing evolution and increased adoption of emerging technologies such as artificial intelligence and machine learning may make it more difficult to anticipate and implement protective measures to recognize, detect, and prevent the occurrence of any of the cyber events described above. While we have insurance coverage designed to address certain aspects of cyber risks in place, we cannot be certain that such coverage will be sufficient to cover claims, that we will continue to be able to obtain such coverage in amounts we deem sufficient, that our insurance carriers will pay on our insurance claims, or that we will not experience a claim for which coverage is not provided.

ITEM 2. UNREGISTERED SALES OF EQUITY SECURITIES AND USE OF PROCEEDS

Unregistered Sales of Equity Securities

On February 4, 2025, we acquired RouteSmart Technologies, Inc. ("RouteSmart"), a global leader in route planning and optimization solutions. The consideration paid to certain former stockholders of RouteSmart consisted in part of 359,052 unregistered shares of our common stock valued at approximately $90 million as of the acquisition date.

The foregoing transaction did not involve any underwriters or underwriting discounts or commissions. The shares of our common stock were issued in reliance upon the exemption from registration provided by Section 4(a)(2) of the Securities Act of 1933, as amended, in a privately negotiated transaction not involving any public offerings or solicitations. See Note 5 of the accompanying unaudited condensed consolidated financial statements for additional information regarding this transaction.

Issuer Purchases of Equity Securities

The following table provides information on FedEx's repurchases of our common stock during the third quarter of 2025:

Period	Total Number of Shares Purchased	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Program	Approximate Dollar Value of Shares That May Yet Be Purchased Under the Program ($ in millions)
Dec. 1-31, 2024	540,000	$ 276.78	540,000	$ 2,911
Jan. 1-31, 2025	1,258,310	$ 276.03	1,258,310	$ 2,564
Feb. 1-28, 2025	—	$ —	—	$ 2,564
Total	1,798,310		1,798,310	$ 2,564

In March 2024, our Board of Directors authorized a stock repurchase program for repurchases of up to $5.0 billion of FedEx common stock. As part of the 2024 repurchase program, we repurchased 1.8 million shares for $497 million in the open market during the third quarter of 2025. As of March 20, 2025, approximately $2.6 billion remained available to be used for repurchases under the 2024 stock repurchase program. Shares under the program may be repurchased from time to time in the open market or in privately negotiated transactions. No time limits were set for completion of the program; however, we may decide to suspend or discontinue the program.

See Note 1 of the accompanying unaudited condensed consolidated financial statements for additional information and "Item 2. Management's Discussion and Analysis of Results of Operations and Financial Condition – Financial Condition – Liquidity Outlook" for information regarding potential stock repurchases during the remainder of 2025.

ITEM 5. OTHER INFORMATION

During the quarter ended February 28, 2025, no director or officer of FedEx adopted, modified, or terminated any Rule 10b5-1 trading arrangement or non-Rule 10b5-1 trading arrangement, as such terms are defined in Item 408(a) of Regulation S-K.

ITEM 6. EXHIBITS

Exhibit Number	Description of Exhibit
3.1	Restated Certificate of Incorporation of FedEx. (Filed as Exhibit 3.1 to FedEx's FY25 Second Quarter Report on Form 10-Q, and incorporated herein by reference).
3.2	Amended and Restated Bylaws of FedEx. (Filed as Exhibit 3.1 to FedEx's Current Report on Form 8-K dated and filed March 11, 2024, and incorporated herein by reference).
4.1	Indenture, dated as of August 8, 2006, among FedEx, as issuer, the subsidiary guarantors named therein and U.S. Bank Trust Company, National Association, as trustee. (Filed as Exhibit 4.3 to FedEx's Registration Statement on Form S-3 filed on September 19, 2012, and incorporated herein by reference).
4.2	Supplemental Indenture No. 7, dated as of February 26, 2025, among FedEx, as issuer, the subsidiary guarantors named therein and U.S. Bank Trust Company, National Association, as trustee. (Filed as Exhibit 4.1 to FedEx's Current Report on Form 8-K dated February 24, 2025 and filed February 26, 2025 (the "February 24, 2025 Form 8-K"), and incorporated herein by reference).
4.3	Indenture, dated as of October 23, 2015, among FedEx, as issuer, the subsidiary guarantors named therein and U.S. Bank Trust Company, National Association, as trustee. (Filed as Exhibit 4.1 to FedEx's Current Report on Form 8-K dated and filed October 23, 2015, and incorporated herein by reference).
4.4	Supplemental Indenture No. 14, dated as of February 26, 2025, among FedEx, as issuer, the subsidiary guarantors named therein and U.S. Bank Trust Company, National Association, as trustee. (Filed as Exhibit 4.3 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.5	Supplemental Indenture No. 15, dated as of February 26, 2025, among FedEx, as issuer, the subsidiary guarantors named therein and U.S. Bank Trust Company, National Association, as trustee. (Filed as Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.6	Form of 3.400% Notes due 2028 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.7	Form of 4.200% Notes due 2028 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.8	Form of 3.100% Notes due 2029 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.9	Form of 4.250% Notes due 2030 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.10	Form of 2.400% Notes due 2031 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.11	Form of 4.900% Notes due 2034 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.12	Form of 3.900% Notes due 2035 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.13	Form of 3.250% Notes due 2041 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.14	Form of 3.875% Notes due 2042 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.15	Form of 4.100% Notes due 2043 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).

4.16	Form of 5.100% Notes due 2044 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.17	Form of 4.100% Notes due 2045 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.18	Form of 4.750% Notes due 2045 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.19	Form of 4.550% Notes due 2046 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.20	Form of 4.400% Notes due 2047 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.21	Form of 4.050% Notes due 2048 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.22	Form of 4.950% Notes due 2048 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.23	Form of 5.250% Notes due 2050 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.24	Form of 4.500% Notes due 2065 (included in Exhibit 4.4 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.25	Supplemental Indenture No. 16, dated as of February 26, 2025, among FedEx, as issuer, the subsidiary guarantors named therein, U.S. Bank Trust Company, National Association, as trustee, and U.S. Bank Europe DAC, UK Branch, as paying agent. (Filed as Exhibit 4.24 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.26	Form of 0.450% Notes due 2029 (included in Exhibit 4.24 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.27	Form of 1.300% Notes due 2031 (included in Exhibit 4.24 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.28	Form of 0.950% Notes due 2033 (included in Exhibit 4.24 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.29	Registration Rights Agreement, dated February 26, 2025, among FedEx, the subsidiary guarantors named therein and Goldman Sachs & Co. LLC. (Filed as Exhibit 4.28 to the February 24, 2025 Form 8-K, and incorporated herein by reference).
4.30	Succession Agreement, dated as of December 13, 2021, among FedEx, the subsidiary guarantors named therein, The Bank of New York Mellon Trust Company, N.A., and U.S. Bank National Association. (Filed as Exhibit 4.1 to FedEx's Current Report on Form 8-K dated December 13, 2021 and filed December 16, 2021, and incorporated herein by reference).
4.31	Succession Agreement, dated as of December 13, 2021, among FedEx, the subsidiary guarantors named therein, Computershare Trust Company, N.A., as agent for Wells Fargo Bank, National Association, and U.S. Bank National Association. (Filed as Exhibit 4.2 to FedEx's Current Report on Form 8-K dated December 13, 2021 and filed December 16, 2021, and incorporated herein by reference).
*10.1	FedEx Corporation Supplemental Short Term Disability Plan, effective January 1, 2025.
*10.2	FedEx Corporation Supplemental Long Term Disability Plan, effective January 1, 2025.
15.1	Letter re: Unaudited Interim Financial Statements.

22	List of Guarantor Subsidiaries and Subsidiary Issuers of Guaranteed Securities.
31.1	Certification of Principal Executive Officer Pursuant to Rules 13a-14(a) and 15d-14(a) under the Securities Exchange Act of 1934, as Adopted Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
31.2	Certification of Principal Financial Officer Pursuant to Rules 13a-14(a) and 15d-14(a) under the Securities Exchange Act of 1934, as Adopted Pursuant to Section 302 of the Sarbanes-Oxley Act of 2002.
32.1	Certification of Principal Executive Officer Pursuant to 18 U.S.C. Section 1350, as Adopted Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
32.2	Certification of Principal Financial Officer Pursuant to 18 U.S.C. Section 1350, as Adopted Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
101.1	Interactive Data Files pursuant to Rule 405 of Regulation S-T formatted in Inline Extensible Business Reporting Language (“Inline XBRL”).
104.1	Cover Page Interactive Data File (formatted in Inline XBRL and contained in Exhibit 101.1).

* Management Contracts/Compensatory Plans or Arrangements.

SIGNATURE

Pursuant to the requirements of the Securities Exchange Act of 1934, as amended, the Registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

FedEx Corporation

Date: March 20, 2025

/s/ Guy M. Erwin II
Guy M. Erwin II
Corporate Vice President and
Chief Accounting Officer

Exhibit 10.1

FEDEX CORPORATION

SUPPLEMENTAL SHORT TERM DISABILITY PLAN

Effective

January 1, 2025

FEDEX CORPORATION
SUPPLEMENTAL SHORT TERM DISABILITY PLAN

Section 1. Purpose and Description. FedEx Corporation (the "Company"), a Delaware corporation, hereby establishes the FedEx Corporation Supplemental Short Term Disability Plan (the "Plan").

The Plan is intended to be an "employee welfare benefit plan," as defined in §3(1) of the Employee Retirement Income Security Act of 1974 ("ERISA"), and a plan that is unfunded and "maintained by an employer for the purpose of providing benefits for a select group of management or highly compensated employees," as provided in 29 CFR §2520.104-24 of the Department of Labor regulations promulgated under ERISA. The benefits provided by the Plan shall not be funded, but shall be payable when due out of the assets of the Company as general, unsecured obligations of the Company.

Section 2. Defined Terms. Except as otherwise defined in this Plan or where the context clearly requires a different meaning, defined terms in this Plan shall have the same meaning attributable to such terms in the FedEx Corporation Short Term Disability Plan (the "STD Plan"). For purposes of this Plan, the term "Officer" shall mean an officer of a Participating Employer elected to the position of vice-president or above, as evidenced in the minutes of each respective Participating Employer's board of directors. The term "Managing Director" shall, for the purpose of this Plan, mean an employee of the Company or another Participating Employer who has been appointed to the position of managing director, as evidenced in the affected participating employer's personnel information system, and shall also mean an employee having the title of "Staff Director" or "Director."

Section 3. Eligibility. Any employee of a Participating Employer who (i) is serving as an Officer or Director at the time he becomes Disabled, (ii) has served as an Officer or Director for a period of two (2) consecutive years prior to becoming Disabled with any affiliate of the Company or Participating Employer, excluding service with a predecessor-in-interest to the Company or Participating Employer, and (iii) is qualified for a benefit under the STD Plan for the same Disability for which benefits are claimed under this Plan shall be eligible for the benefits described in Section 4 below.

Section 4. Benefit Amount and Limitations.

(a) An Officer or Director who satisfies the eligibility requirements of Section 3 above shall upon becoming Disabled be paid from the Plan the difference, if any, between the amount determined under the STD Plan as if the percentage in Section 3.2 of the STD Plan was 100% and the amount payable from the STD Plan.

(b) Benefits payable under this Plan shall be subject to all the provisions, requirements, exclusions, offsets, restrictions, limitations, *etc.* provided in the STD Plan, other than the increase in percentage to 100% described above. In the event of a conflict between the provisions of this Plan and the STD Plan, the provisions of this Plan shall control with respect to the benefit provided herein.

Section 5. Payment of Benefits. Benefits under this Plan shall be payable weekly at the time and in the manner determined by the Company.

Section 6. Plan Administration. The Plan shall be administered by the Company, which is charged with the administration of the Plan, acting through the Total Rewards Benefits department of Federal Express Corporation (the "Administrator"). However, the Claims Paying Administrator acting pursuant to Section 5.3 of the STD Plan, or any committee or individual appointed by the Claims Paying Administrator, shall have the rights and power given to it pursuant to that Section 5.3 of the STD Plan. Except as limited by the preceding sentence and subject to the requirements of the Code and ERISA, the Administrator's authority shall include, but shall not be limited to, the following powers:

(a) to construe any ambiguity and interpret any provision of the Plan or supply any omission or reconcile any inconsistencies in such manner as it deems proper;

(b) to determine eligibility for coverage under the Plan in accordance with its terms; and

(c) to decide all questions of eligibility for, and determine the amount, manner, and time of payment of, benefits under the Plan in accordance with its interpretation of its terms.

The determination of the Administrator shall be made in a fair and consistent manner in accordance with the Plan's terms and its decision shall be final, subject only to a determination by a court of competent jurisdiction that the Administrator's decision was arbitrary and capricious. Nothing contained in this section shall prevent the Administrator from delegating non-fiduciary administrative duties to the Claims Paying Administrator, in addition to the fiduciary duties of the Claims Paying Administrator described in this Plan or to others as described in this Plan.

Section 7. Claims Procedures. As contemplated by Section 4(b) above, the claims procedures for the Plan shall be the same as such procedures in the STD Plan.

Section 8. Top Hat Plan Designation. Notwithstanding any other provision of this Plan, the Administrator, upon the advice of counsel (including counsel for the Company), shall have the sole discretion to reasonably determine if an Officer or Director fails to fall within the meaning of "a select group of management or highly compensated employees" as such phrase is used in 29 CFR §2520.104-24. Upon such a determination being made, the Officer or Director in question shall be deemed not to be eligible for benefits under the Plan.

Section 9. Non-Assignability of Benefits. Benefits under this Plan shall not be assignable or transferable in any manner, nor shall they be subject to garnishment, attachment, or other legal process, except as provided by ERIS.A and other applicable federal law.

Section 10. Effect. Neither the establishment of the Plan nor any modification thereto, nor the creation of any account on the books of the Company, nor the payment of any benefit from the Plan shall be construed as giving an Officer or Director or any other person any legal or equitable right against the Company, its Directors, Officers, employees, or agents, except as provided herein.

Section 11. Forfeiture of Benefits. All rights to any benefits payable under this Plan shall be forfeited by an Officer or Director if the Company's Board of Directors determines that such Officer or Director breached his duty of loyalty to the Company or if the Officer or Director disclosed confidential information and/or trade secrets without the consent of the Company's Board of Directors, as reflected in its minutes.

Section 12. No Guarantee of Employment. Nothing contained in this Plan shall be construed as a contract of employment between the Company and any Officer or Director nor as a promise that any Officer or Director shall continue in his present or comparable position nor as a limit on the Company's right to discharge such Officer or Director, with or without notice.

Section 13. Amendment or Termination. The Company may amend or terminate the Plan at any time. An amendment shall become effective upon its execution in writing by an Officer of the Company and the Plan's termination shall become effective upon the action of the Company's Human Resources and Compensation Committee of the Board of Directors (the "Committee"), as reflected in the Committee's minutes. Oral communications or representations made by employees of the Participating Employers, the Administrator, or the Claims Paying Administrator in no way modify, alter, or amend the Plan. In the event of any discrepancy between such oral communications or representations and the terms herein, the Plan will rule.

Section 14. Agent for Service of Process. The Company is hereby designated as agent for service of process for all purposes provided herein.

Section 15. Governing Law. Except to the extent preempted by federal law, or any other laws of the United States heretofore or hereafter enacted, as the same may be amended from time to time, the provisions of this Plan shall be administered, construed, and enforced in accordance with the laws of the State of Tennessee. The parties shall submit to the jurisdiction of the United States District Court for the Western District of Tennessee for adjudication of disputes arising thereunder.

Section 16. Number and Gender. Wherever any words are used herein in the masculine or gender, they shall be construed as though they were also used in the feminine and neuter gender in all cases where they would so apply, and wherever any words are used herein in the singular form, they shall be construed as though they were also used in the plural form in all cases where they would so apply.

Section 17. Rights of Covered Employees Narrowly Construed. Neither the establishment of the Plan nor any modification thereof, nor the creation of any fund or account, nor the payment of any benefit hereunder shall be construed as giving to any Officer, Director, or other person any legal or equitable rights against the Participating Employer, or any officer or Employee thereof except as herein provided. Under no circumstances shall the terms of

employment of any Officer or Director be modified or in any way affected hereby. Nothing in this Plan shall be construed to give any Officer or Director the right to be retained in the Participating Employer's employment and such employment status may be terminated at any time in accordance with applicable personnel policies. Each Officer or Director shall be deemed conclusively to have agreed to and accepted the terms and conditions of the Plan when he becomes an Officer or Director.

Section 18. Statute of Limitations. An Officer or Director shall have one (1) year from the date of the appeal decision to file an action under ERISA. Any Officer or Director entitled to bring an action for penalties under ERISA for failure or refusal of the Administrator to timely respond to a request for the Plan's governing documents shall have one (1) year from the date of the first violation for such request for information.

Section 19. Execution. This document may be executed in any number of counterparts and each fully executed counterpart shall be deemed an original.

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX CORPORATION

Signed: /s/ Tracy Brightman
Name: Tracy Brightman
Title: Executive Vice President - Chief People Officer
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDERAL EXPRESS CORPORATION

Signed: /s/ Tracy Brightman
Name: Tracy Brightman
Title: Executive Vice President - Chief People Officer
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX LOGISTICS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX TRADE NETWORKS TRADE SERVICES, LLC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX FREIGHT, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX OFFICE AND PRINT SERVICES, INC.

Signed: /s/ Tiffany H. Brunson
Name: Tiffany H. Brunson
Title: Vice President – General Counsel
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX CUSTOM CRITICAL, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN DISTRIBUTION SYSTEM, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

ATC INFORMATION SERVICES, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

GENCO INFRASTRUCTURE SOLUTIONS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN LOGISTICS & ELECTRONICS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

GENCO MARKETPLACE, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX DATAWORKS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

Exhibit 10.2

FEDEX CORPORATION

SUPPLEMENTAL LONG TERM DISABILITY PLAN

Amended and Restated

Effective

January 1, 2025

FEDEX CORPORATION
SUPPLEMENTAL LONG TERM DISABILITY PLAN

Section 1. Purpose and Description. Federal Express Corporation, a Delaware corporation, established, effective March 1, 1993, the Federal Express Corporation Supplemental Long Term Disability Plan. The Plan is amended and restated to reflect the change in sponsorship to FedEx Corporation (the "Company") and to change the name of the Plan to FedEx Corporation Supplemental Long Term Disability Plan (the "Plan") to reflect this change in sponsorship.

The Plan is intended to be an "employee welfare benefit plan," as defined in §3(1) of the Employee Retirement Income Security Act of 1974 ("ERISA"), and a plan that is unfunded and "maintained by an employer for the purpose of providing benefits for a select group of management or highly compensated employees," as provided in 29 CFR §2520.104-24 of the Department of Labor regulations promulgated under ERISA. The benefits provided by the Plan shall not be funded, but shall be payable when due out of the assets of the Company as general, unsecured obligations of the Company.

Section 2. Defined Terms. Except as otherwise defined in this Plan or where the context clearly requires a different meaning, defined terms in this Plan shall have the same meaning attributable to such terms in the FedEx Corporation Long Term Disability Plan (the "LTD Plan"). For purposes of this Plan, the term "Officer" shall mean an officer of a Participating Employer elected to the position of vice-president or above, as evidenced in the minutes of each respective Participating Employer's board of directors. The term "Managing Director" shall, for the purpose of this Plan, mean an employee of the Company or another Participating Employer who has been appointed to the position of managing director, as evidenced in the affected participating employer's personnel information system, and shall also mean an employee having the title of "Staff Director" or "Director."

Section 3. Eligibility. Any employee of a Participating Employer who (i) is serving as an Officer or Director at the time he becomes Disabled, (ii) has served as an Officer or Director for a period of two (2) consecutive years prior to becoming Disabled with any affiliate of the Company or Participating Employer, excluding service with a predecessor-in-interest to the Company or Participating Employer, and (iii) is qualified for a benefit under the LTD Plan for the same Disability for which benefits are claimed under this Plan shall be eligible for the benefits described in Section 4 below.

For purposes of this Plan, eligibility under the LTD Plan shall be determined without regard to the provisions of the LTD Plan that limit benefits under that plan for a period of two years for (i) an Occupational Disability and (ii) a Mental Impairment or nervous condition. In addition, the LTD Plan's monthly benefit limit (currently $12,500) shall be increased to $25,000. For this Plan, the limitations described in the preceding two sentences shall be referred to as the LTD Limitations.

Section 4. Benefit Amount and Limitations.

(a) An Officer or Director who satisfies the eligibility requirements of Section 3 above shall upon becoming Disabled be paid from the Plan the difference, if any, between the amount determined under the LTD Plan without regard to the LTD Limitations and the amount payable from the LTD Plan.

(b) Benefits payable under this Plan shall be subject to all the provisions, requirements, exclusions, offsets, restrictions, limitations, *etc.* provided in the LTD Plan, other than the LTD Limitations described in Section 3 above. In the event of a conflict between the provisions of this Plan and the LTD Plan, the provisions of this Plan shall control with respect to the benefit provided herein.

Section 5. Payment of Benefits. Benefits under this Plan shall be payable monthly at the time and in the manner determined by the Company.

Section 6. Plan Administration. The Plan shall be administered by the Company, which is charged with the administration of the Plan, acting through the Total Rewards Benefits department of Federal Express Corporation (the "Administrator"). However, the Claims Paying Administrator acting pursuant to Section 5.3 of the LTD Plan, or any committee or individual appointed by the Claims Paying Administrator, shall have the rights and power given to it pursuant to that Section 5.3 of the LTD Plan. Except as limited by the preceding sentence and subject to the requirements of the Code and ERISA, the Administrator's authority shall include, but shall not be limited to, the following powers:

(a) to construe any ambiguity and interpret any provision of the Plan or supply any omission or reconcile any inconsistencies in such manner as it deems proper;

(b) to determine eligibility for coverage under the Plan in accordance with its terms; and

(c) to decide all questions of eligibility for, and determine the amount, manner, and time of payment of, benefits under the Plan in accordance with its interpretation of its terms.

The determination of the Administrator shall be made in a fair and consistent manner in accordance with the Plan's terms and its decision shall be final, subject only to a determination by a court of competent jurisdiction that the Administrator's decision was arbitrary and capricious. Nothing contained in this section shall prevent the Administrator from delegating non-fiduciary administrative duties to the Claims Paying Administrator, in addition to the fiduciary duties of the Claims Paying Administrator described in this Plan or to others as described in this Plan.

Section 7. Claims Procedures. As contemplated by Section 4(b) above, the claims procedures for the Plan shall be the same as such procedures in the LTD Plan.

Section 8. Top Hat Plan Designation. Notwithstanding any other provision of this Plan, the Administrator, upon the advice of counsel (including counsel for the Company), shall have the sole discretion to reasonably determine if an Officer or Director fails to fall within the meaning of "a select group of management or highly compensated employees" as such phrase is used in 29 CFR §2520.104-24. Upon such a determination being made, the Officer or Director in question shall be deemed not to be eligible for benefits under the Plan.

Section 9. Non-Assignability of Benefits. Benefits under this Plan shall not be assignable or transferable in any manner, nor shall they be subject to garnishment, attachment, or other legal process, except as provided by ERISA and other applicable federal law.

Section 10. Effect. Neither the establishment of the Plan nor any modification thereto, nor the creation of any account on the books of the Company, nor the payment of any benefit from the Plan shall be construed as giving an Officer, Director, or any other person any legal or equitable right against the Company, its Directors, Officers, employees, or agents, except as provided herein.

Section 11. Forfeiture of Benefits. All rights to any benefits payable under this Plan shall be forfeited by an Officer or Director if the Company's Board of Directors determines that such Officer or Director breached his duty of loyalty to the Company or if the Officer or Director disclosed confidential information and/or trade secrets without the consent of the Company's Board of Directors, as reflected in its minutes.

Section 12. No Guarantee of Employment. Nothing contained in this Plan shall be construed as a contract of employment between the Company and any Officer or Director nor as a promise that any Officer or Director shall continue in his present or comparable position nor as a limit on the Company's right to discharge such Officer or Director, with or without notice.

Section 13. Amendment or Termination. The Company may amend or terminate the Plan at any time. An amendment shall become effective upon its execution in writing by an Officer of the Company and the Plan's termination shall become effective upon the action of the Company's Human Resources and Compensation Committee of the Board of Directors (the "Committee"), as reflected in the Committee's minutes. Oral communications or representations made by employees of the Participating Employers, the Administrator, or the Claims Paying Administrator in no way modify, alter, or amend the Plan. In the event of any discrepancy between such oral communications or representations and the terms herein, the Plan will rule.

Section 14. Agent for Service of Process. The Company is hereby designated as agent for service of process for all purposes provided herein.

Section 15. Governing Law. Except to the extent preempted by federal law, or any other laws of the United States heretofore or hereafter enacted, as the same may be amended from time to time, the provisions of this Plan shall be administered, construed, and enforced in accordance with the laws of the State of Tennessee. The parties shall submit to the jurisdiction of the United States District Court for the Western District of Tennessee for adjudication of disputes arising thereunder.

Section 16. Number and Gender. Wherever any words are used herein in the masculine gender, they shall be construed as though they were also used in the feminine and neuter gender in all cases where they would so apply, and wherever any words are used herein in the singular form, they shall be construed as though they were also used in the plural form in all cases where they would so apply.

Section 17. Rights of Covered Employees Narrowly Construed. Neither the establishment of the Plan nor any modification thereof, nor the creation of any fund or account, nor the payment of any benefit hereunder shall be construed as giving to any Officer or Director or other person any legal or equitable rights against the Participating Employer, or any officer or Employee thereof except as herein provided. Under no circumstances shall the terms of employment of any Officer or Director be modified or in any way affected hereby. Nothing in this Plan shall be construed to give any Officer or Director the right to be retained in the Participating Employer's employment and such employment status may be terminated at any time in accordance with applicable personnel policies. Each Officer or Director shall be deemed conclusively to have agreed to and accepted the terms and conditions of the Plan when he becomes an Officer or Director.

Section 18. Statute of Limitations. An Officer or Director shall have one (1) year from the date of the appeal decision to file an action under ERISA. Any Officer or Director entitled to bring an action for penalties under ERISA for failure or refusal of the Administrator to timely respond to a request for the Plan's governing documents shall have one (1) year from the date of the first violation for such request for information.

Section 19. Execution. This document may be executed in any number of counterparts and each fully executed counterpart shall be deemed an original.

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX CORPORATION

Signed: /s/ Tracy Brightman
Name: Tracy Brightman
Title: Executive Vice President - Chief People Officer
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDERAL EXPRESS CORPORATION

Signed: /s/ Tracy Brightman
Name: Tracy Brightman
Title: Executive Vice President - Chief People Officer
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX LOGISTICS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX TRADE NETWORKS TRADE SERVICES, LLC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX FREIGHT, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX OFFICE AND PRINT SERVICES, INC.

Signed: /s/ Tiffany H. Brunson
Name: Tiffany H. Brunson
Title: Vice President - General Counsel
Date: February 5, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX CUSTOM CRITICAL, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN DISTRIBUTION SYSTEM, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

ATC INFORMATION SERVICES, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

GENCO INFRASTRUCTURE SOLUTIONS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX SUPPLY CHAIN LOGISTICS & ELECTRONICS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

GENCO MARKETPLACE, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Assistant Secretary
Date: February 4, 2025

IN WITNESS WHEREOF, the undersigned duly authorized officers of the Participating Employers have caused this Plan to be effective as of the dates shown herein, by affixing their signatures hereto.

FEDEX DATAWORKS, INC.

Signed: /s/ Clement E. Klank
Name: Clement E. Klank
Title: Secretary
Date: February 4, 2025

EXHIBIT 15.1

To the Stockholders and Board of Directors of
FedEx Corporation

We are aware of the incorporation by reference in the following Registration Statements:

(1) Registration Statement (Form S-8 No. 333-267559) pertaining to the FedEx Corporation 2019 Omnibus Stock Incentive Plan,

(2) Registration Statement (Form S-8 No. 333-234010) pertaining to the FedEx Corporation 2019 Omnibus Stock Incentive Plan,

(3) Registration Statement (Form S-8 No. 333-222198) pertaining to the FedEx Corporation 2010 Omnibus Stock Incentive Plan, as amended, and the FedEx Corporation 2019 Omnibus Stock Incentive Plan,

(4) Registration Statement (Form S-8 No. 333-192957) pertaining to the FedEx Corporation 2010 Omnibus Stock Incentive Plan,

(5) Registration Statement (Form S-8 No. 333-171232) pertaining to the FedEx Corporation 2010 Omnibus Stock Incentive Plan,

(6) Registration Statement (Form S-8 No. 333-45037) pertaining to the FDX Corporation Adjustment Program,

(7) Registration Statement (Form S-8 No. 333-111399) pertaining to the FedEx Corporation Incentive Stock Plan,

(8) Registration Statement (Form S-8 No. 333-121418) pertaining to the FedEx Corporation Incentive Stock Plan,

(9) Registration Statement (Form S-8 No. 333-130619) pertaining to the FedEx Corporation Incentive Stock Plan,

(10) Registration Statement (Form S-8 No. 333-156333) pertaining to the FedEx Corporation Incentive Stock Plan, and

(11) Registration Statement (Form S-3 No. 333-273320) of FedEx Corporation and Federal Express Corporation;

of our report dated March 20, 2025 relating to the unaudited condensed consolidated interim financial statements of FedEx Corporation that is included in its Form 10-Q for the quarter ended February 28, 2025.

/s/ Ernst & Young LLP

Memphis, Tennessee

March 20, 2025

Exhibit 22

LIST OF SUBSIDIARY GUARANTORS

As of February 28, 2025, each of the following subsidiaries of FedEx Corporation ("FedEx") has guaranteed each of the senior unsecured debt securities issued by FedEx listed below. FedEx owns, directly or indirectly, 100% of each guarantor subsidiary. The guarantees are (1) unsecured obligations of the respective guarantor subsidiary, (2) rank equally with all of their other unsecured and unsubordinated indebtedness, and (3) are full and unconditional and joint and several.

NAME OF GUARANTOR SUBSIDIARY*	JURISDICTION OF INCORPORATION OR ORGANIZATION
Federal Express Corporation	Delaware
FedEx Freight, Inc.	Arkansas
FedEx Office and Print Services, Inc.	Texas
Federal Express Europe, Inc.	Delaware
Federal Express Holdings S.A., LLC	Delaware
Federal Express International, Inc.	Delaware

*Pursuant to the one FedEx consolidation, on June 1, 2024 FedEx Ground Package System, Inc. and FedEx Corporate Services, Inc. were merged into Federal Express Corporation, and FedEx Freight Corporation was merged into FedEx Freight, Inc.

SENIOR UNSECURED DEBT SECURITIES OF FEDEX GUARANTEED BY THE GUARANTOR SUBSIDIARIES[(1)]

0.450% Notes due 2025
3.250% Notes due 2026
1.625% Notes due 2027
3.400% Notes due 2028[(2)]
4.200% Notes due 2028[(2)]
0.450% Notes due 2029[(2)]
3.100% Notes due 2029[(2)]
4.250% Notes due 2030[(2)]
1.300% Notes due 2031[(2)]
2.400% Notes due 2031[(2)]
0.950% Notes due 2033[(2)]
4.900% Notes due 2034[(2)]
3.900% Notes due 2035[(2)]
3.250% Notes due 2041[(2)]
3.875% Notes due 2042[(2)]
4.100% Notes due 2043[(2)]
5.100% Notes due 2044[(2)]
4.100% Notes due 2045[(2)]
4.750% Notes due 2045[(2)]
4.550% Notes due 2046[(2)]
4.400% Notes due 2047[(2)]
4.050% Notes due 2048[(2)]
4.950% Notes due 2048[(2)]
5.250% Notes due 2050[(2)]
4.500% Notes due 2065[(2)]

(1) References are to calendar years.
(2) Two separate series of such notes are outstanding following the exchange offer and consent solicitation transactions completed during the third quarter of fiscal 2025. As a result of the transactions, the guarantee of FedEx Freight with respect to each such series (except the 1.300% Notes due 2031) will be automatically and unconditionally released and discharged at the time FedEx Freight ceases to be a subsidiary of FedEx in connection with the planned spin-off. See Note 4 of the accompanying unaudited condensed consolidated financial statements for more information.

SUBSIDIARY ISSUERS OF GUARANTEED SECURITIES

Pass-through trusts formed by Federal Express Corporation ("Federal Express"), a Delaware corporation and wholly owned subsidiary of FedEx, offer for sale pass-through certificates of Federal Express. Each pass-through certificate represents an interest in a pass-through trust. The property of the pass-through trust includes equipment notes issued by Federal Express. FedEx fully and unconditionally guarantees the payment obligations due on the equipment notes underlying the pass-through certificates offered for sale by Federal Express.

Federal Express issued Pass-Through Certificates, Series 2020-1AA with a fixed interest rate of 1.875% due February 2034 utilizing pass-through trusts.

EXHIBIT 31.1

CERTIFICATION PURSUANT TO
RULES 13a-14(a) AND 15d-14(a) UNDER THE SECURITIES EXCHANGE ACT OF 1934,
AS ADOPTED PURSUANT TO SECTION 302 OF THE SARBANES-OXLEY ACT OF 2002

I, Rajesh Subramaniam, certify that:

1. I have reviewed this quarterly report on Form 10-Q of FedEx Corporation (the "registrant");

2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations, and cash flows of the registrant as of, and for, the periods presented in this report;

4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:

   (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;

   (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

   (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and

   (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and

5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):

   (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize, and report financial information; and

   (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: March 20, 2025

/s/ Rajesh Subramaniam
Rajesh Subramaniam
President and Chief Executive Officer

EXHIBIT 31.2

CERTIFICATION PURSUANT TO
RULES 13a-14(a) AND 15d-14(a) UNDER THE SECURITIES EXCHANGE ACT OF 1934,
AS ADOPTED PURSUANT TO SECTION 302 OF THE SARBANES-OXLEY ACT OF 2002

I, John W. Dietrich, certify that:

1. I have reviewed this quarterly report on Form 10-Q of FedEx Corporation (the "registrant");

2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations, and cash flows of the registrant as of, and for, the periods presented in this report;

4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:

   (a) Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;

   (b) Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;

   (c) Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and

   (d) Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and

5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):

   (a) All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize, and report financial information; and

   (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Date: March 20, 2025

/s/ John W. Dietrich
John W. Dietrich
Executive Vice President and
Chief Financial Officer

EXHIBIT 32.1

CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Quarterly Report of FedEx Corporation ("FedEx") on Form 10-Q for the period ended February 28, 2025 as filed with the Securities and Exchange Commission on the date hereof (the "Report"), I, Rajesh Subramaniam, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that:

(1) The Report fully complies with the requirements of section 13(a) or 15(d) of the Securities Exchange Act of 1934; and

(2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of FedEx.

Date: March 20, 2025

/s/ Rajesh Subramaniam
Rajesh Subramaniam
President and Chief Executive Officer

EXHIBIT 32.2

CERTIFICATION PURSUANT TO
18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Quarterly Report of FedEx Corporation ("FedEx") on Form 10-Q for the period ended February 28, 2025 as filed with the Securities and Exchange Commission on the date hereof (the "Report"), I, John W. Dietrich, certify, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that:

(1) The Report fully complies with the requirements of section 13(a) or 15(d) of the Securities Exchange Act of 1934; and

(2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of FedEx.

Date: March 20, 2025

/s/ John W. Dietrich
John W. Dietrich
Executive Vice President and
Chief Financial Officer